

Bayer Crop Sci. (BAYERCROP)

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Call: Jun 2023

June 06, 2023

To,
The General Manager ,
Department of Corporate Services ,
BSE Limited ,
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai – 400 001 .

SECURITY ID : BAYERCROP
SECURITY CODE : 506285

Dear Sir / Madam,

Subject: Transcript of Investor Meet held on
June 01, 2023

In furtherance to our letters dated June 01, 2023 pursuant to Regulation 30 read with part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, disclosure of the transcript of the Investor Meet held on June 01, 2023 has been made on the website of the Company at <https://www.bayer.in/en/investors/investor-presentation> as well as submitted to the Stock Exchange for dissemination and records.

Thanking you.

Yours faithfully,
for Bayer CropScience Limited

Nikunj Kumar Savaliya
Company Secretary and Compliance Officer

Encl: As above

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Transcript of the Investor Meet of Bayer CropScience Limited held on Thursday,
June 1, 2023

Commencement Time: 04:00 pm IST
End Time: 5:05 pm IST

Management Participants:

Mr. D. Narain – Vice Chairman & Managing Director and Chief Executive Officer
Mr. Simon Wiebusch – Whole -time Director
Mr. Simon Britsch – Executive Director & Chief Financial Officer
Mr. Nikunj Savaliya – Company Secretary & Compliance Officer

Nikunj Savaliya Good afternoon, ladies , and gentlemen. I am Nikunj Savaliya, Company Secretary and Compliance Officer of Bayer CropScience Limited, would like to extend a warm welcome to all of you attending this meet. I can see over 65 participants , and some are still joining as I speak. This is an extraordinary occasion that brings together an exceptional group of individuals who are passionate about driving our company's success and exploring the endless possibilities that lie ahead. On behalf of the company, I would like to express our heart felt gratitude for your presence today. Your support and engagement are vital to our continued success , and we value the opportunity to discuss our progress with you today.

Let me introduce our speakers for this meet, and may I invite them on screen please.

Mr. D. Narain, Vice Chairman and Managing Director and CEO of the Company. Mr. Simon Wiebusch, Whole -time Director of the Company and Mr. Simon Britsch, Executive Director and Chief Financial Officer of the Company.

Throughout this event we aim to provide you with an overview of our company's operations, financial performance , and strategic growth drivers. We are committed to fostering an environment of open dialogue and constructive engagement as we firmly believe that your perspective and questions are invaluable in shaping our future course. The sequence of today's meet will be to start with a presentation by the management team followed by a question and answer session. We understand the importance of open dialogue and we are here to address your questions and concerns with utmost transparency. We have received several questions by email in advance and we will be covering some of these during our presentation itself and rest of the questions will be taken up in the Q&A session. If you have additional questions , please locate the chat icon at the bottom of your screen and send in your questions to us through the Chat Box. We will attempt to answer as many questions as possible with the exception of items of commercial confidence. Considering time constraints if any question

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remains unanswered , please reach out to us at ir_bcs@bayer.com . Please note that

that we are recording this interaction and the recording will be available at the company's website. Presentation slides are available at BSE website as well as company's website under the investor section.

With that I now request Mr. D. Narain for his address. D, over to you.

D. Narain Thank you, Nikunj .

A warm welcome from me as well to all of you joining the call. It is indeed an honour and pleasure to have you join us in today's investors' deliberation.

If you can get the slides, let me start with setting the context on why as a management team we are really excited with where Indian agriculture is going and where we as Bayer CropScience are positioned to take advantage and not just advantage also deliver significant value to Indian agriculture.

If you go to the next slide , I would start at a point where we hosted our Global CEO of Bayer CropScience, Rodrigo Santos, who is also a member of the board of management of Bayer, recently in the month of March. He joined as the CEO early last year and as he has spent the last 18 months in his role, his visit to India was very timely for a number of reasons. If you look at where Bayer India and Bayer CropScience India stands within the Bayer CropScience world, we are proud to say that we are in the top 5 countries in the world. Number

two, we already are a microcosm of entire Bayer CropScience with the products and portfolio already present in India. Three, and most importantly we reach almost 20 million out of the 50 million small holders that we as Bayer CropScience touch globally which is one of our biggest goals that we have as to how do you enable small holders earn their livelihoods. And in this whole journey [I think the slides are moving faster. I want to see the slides with Rodrigo in it, I am not sure I think the slides are moving faster, can we go back to the Rodrigo slide please]. As part of this visit there were a couple of key takeaways that Rodrigo clearly could see for himself.

Number one, and he stated it publicly as well that we in India have the unique opportunity to lead the world of global agriculture in the decades ahead as we stand today.

Number two, he also said that we in India have the opportunity to do it inclusively especially from a smallholder perspective which is so critical to deliver the value for agriculture and the country as a whole as we see this.

The third piece which he also quickly identified is post Covid and the entire disruption to the global value chain or food value chain, the huge

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opportunity we in India (is) have to increase global exports of agriculture.

And finally, the whole topic of regenerative and sustainable agriculture and how can India take the lead in the world of smallholder farming to deliver regenerative agriculture.

Why do I make this as a key pivotal point and the starting point of our conversation. This is because as the world's leading company offering innovation in agriculture, it is extremely important that Rodrigo saw this and also completely aligned with the huge opportunity that is there in front of us and how we in Bayer with our continuous innovations can bring those innovations and bring value to agriculture. So, that's the reason why I set the context of this visit which was so critical for us as the management team in the country. And all of what I am sharing with you he stated publicly as well.

If you go to the next slide which is where I would like to talk briefly on the macro context and why this connects to the comments of Rodrigo which I just shared. One is if you look at the macro level from the needs of the country and obviously, we have the distinction of being the world's largest populated country. The topic of food security is front and centre. Not just food security, the topic of nutritional security is also right along with the same plane of food security. But then overarching all of these is a big shadow

of what I see is the impact

of climate change and how are we going to address both these two challenges of food and nutritional security in the decades ahead.

But when we talk about the challenges and the needs it is important to understand and this again the team here, I think, have clearly got to a place where we have said there are 4 or 5 key challenges that we need to address collectively to solve these needs that I just laid out.

One is all of you interact with small holders, what is very, very clear is the access to good quality inputs is foundational and that is where the whole starting point is, and that's where the role that we have as people companies have a major opportunity to play.

The second one is more and more especially in terms of climate change the whole topic of agronomy and agronomy knowledge becomes exceptionally critical.

The third piece is none of this is going to start without access to cost effective financing and which again is a major challenge for smallholders in India as we speak even today. And to top it all is the whole challenge of labour and labour availability at critical moments. Finally, it doesn't stop at these four it comes down to connectedness to markets to being able to sell the produce at the right time at the right price.

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Why do I highlight all these? I highlight all these because for the first time as an industry, multiple set of stakeholders there is a clear

alignment that these are the 4 or 5 key challenges that we need to crack if we have to deliver on the huge potential that Rodrigo realized as he walked away. And the good news is even as we speak there are major change drivers happening which I think are moving in the right direction to solve it and why do I say that.

Number one, the whole topic of collectivization of farmers and small farmers is foundational. None of us can reach every individual farmer, but collectivization of farms and getting you know, clusters of 100 - 200-500 farmers is a starting point. So therefore, we will talk more about this as we get into the discussion; the whole topic of FPOs and enabling FPOs to succeed is the starting point.

Digitization and the way the entire farming ecosystem is starting to get digitized by large companies like ours and including the numerous start-ups investing on digitization is I think going to be a game changer for the future.

The third topic is mechanization and not just mechanization, small farmer mechanization, those that are critical to solve the challenges of the small farmer ecosystem are very critical.

Focus on sustainability, I already said climate change but even more than climate change even as we speak, water and water availability in some of the key crops like rice is emerging as a key challenge. And rural entrepreneurship again is starting to emerge as a huge opportunity.

If I take all these 5 that I laid out, as we speak there is a clear move towards bringing all these together in a very focused way to start driving to make a big change to solve these big problems that I just laid out. But even more important than all this I would think is the enabling policy environment of the government at the central government level and more and more states recognizing that these need to be solved to make a difference is emerging and I think which is a positive thing. And all of these have one singular goal - how do you improve farmer income. Because I think when the government said doubling farmer income at a time 4 -5 years ago, it would have been a slogan. But I genuinely believe today it has reached a point where the entire ecosystem clearly sees this as the most important change that needs to be done.

Now, as we go to the next slide please, how can we and how are we as Bayer approaching it, right. It all starts with you know, and I am sure you are going to be talking more as we go through these, the starting pillar of this is

as we have to perform and deliver today. And on this vertical I can very proudly say that with all the action that we have taken in the last 4 -5 years, the strong focus we have in driving business holistically across all the different parameters whether it is top line growth, cost optimization, cost management, whether it is managing the whole cash flow and risk mitigation, all of these are key KPIs we

5 track consistently and you will see how it has panned out in this time frame.

But more important than all of these is in the same time frame creating space for investing for the future which comes to my next bucket which we call - transformation. And what does transform mean?

Everything that I talked about cannot happen with business as status quo. In the last 4 -5 years we have talked initiatives, projects but they are no longer initiatives and projects. Today as we speak the kind of ecosystem that we are building through transforming the whole crop system is coming to fruition and this is what we call transformation, and we will talk about how are we progressing in this dimension.

But most important all this is creating a holistic ecosystem which brings all the key stakeholders together to improve farm income and also sustainability and that is a big focus for us. And this to me is going to be enabled with strong collaborations and partnership. We as Bayer alone cannot solve it. And I am clear on this improving productivity alone doesn't translate to farm income, it is foundational to it, but it is not the only answer to the problem that we are seeing, and that's the reason why the holistic partnership and managing the whole thing collaboratively is going to be key.

If we go to the next slide, I will stop and transition over to Simon, but here is what I will leave a message and then come back later on. What you are going to hear today is steps we have already taken but more importantly what we are so excited as we look at the future, how we are going to build on it, and also how we are going to accelerate some of these initiatives which are going to become long term growth drivers and not just initiatives. I will give to Simon Britsch to talk about results ultimately results matter, so Simon, over to you and let's hear your part of the presentation please. Thank you.

Simon Britsch Thank you very much D. Hello everyone, and also very warm welcome from my end.

I will now walk you through the financial and sustainability performance for the financial year that ended in March 2023. However, as D said I will also use the opportunity to take a look over our performance over the last 4 years basically since the merger with Monsanto India Limited in 2019.

Next slide please.

So, these are the financial highlights for the year 2022 -23. Starting from the top with revenue from operations. Here we witness a good growth of around 9% which was achieved with underlying strong liquidation and very much driven by good growth in both value and volume.

Volume growth was achieved in particular in our corn seeds portfolio.

Moving onto earnings per share, you can see that we were able to translate the revenue growth into profit, we were quite successful in managing inflationary pressure in both COGS and operating expenses.

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Looking now at how much of that profit we have shared, you know, that we have already paid an interim dividend of Rs. 100 per share in November last year and are proposing to pay another Rs. 30 per share as final dividend. If approved by the shareholders, this would lead to a total pay-out ratio of 77%, meaning that we continue significantly share profit with our owners.

Lastly in terms of return of capital employed, we also saw good growth of 190 basis points compared to the last year ending with 33%.

Next slide please. Let's also now take a look at sustainability. From this year onwards we will share with you some of the KPIs that

we are

reporting as part of the BRSR framework. Starting with the lefthand side focusing on our employees. In terms of gender diversity, the overall ratio of female employees was 21% at the end of last year, and during that same year approximately one third of our newly hired employees are female. In addition to that, we continuously invest into safe and healthy workplaces and also ensure that all of our employees are covered by wellbeing measures. Moreover, we checked that all of our value chain partners operate under good health and safety practices and working conditions.

Now focusing on the righthand side of the slide, I am just picking a few of the KPIs illustrating our work to reduce our ecological footprint. As we are reporting these for the first time, today is more about setting the baseline and going forward we plan to report our progress on this. Our main focus areas are usage of renewable energy sources, consumption of water in our operations, greenhouse gas emissions and the total plastic waste that we have generated, recovered and disposed.

So, as mentioned in my introduction earlier on I am taking the opportunity today to review our financial performance since the merger with Monsanto India. Overall, we believe that we have holistically managed all of the relevant financial KPIs.

Let me delve deeper starting with revenue from operations. We have achieved a CAGR of 12.5%. This top line growth was driven by broadening the smallholder reach, launching new products and also brand building activities.

Moving onto EPS, we accomplished a CAGR of almost 17% which shows that we have been able to expand our earnings despite inflationary pressure on costs and also on the supply chain challenges. I would also like to highlight that this earnings expansion has not been

achieved on the basis of reduced investment, but on the contrary we continuously invest into our long term growth.

On the lefthand side is an overview of the cumulated cash flow from operations over the years versus the dividends that we paid out, you can clearly see that we have paid out almost 90% of the cumulated operating cashflow over last 4 years. I would also like to mention the

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fact that we have been very successful in converting our profit into cash. This was also achieved by focusing on a stringent working capital management with special attention on strong collections from our customers. Lastly, looking at the return on capital employed, we have been able to grow that KPI by 500 basis points over the last 4 years which clearly underlines or continues the strong execution of a very efficient capital management.

Thank you very much for your attention, and now I would like to hand over to Simon Wiebusch to walk you through the business performance.

Simon Wiebusch Thank you, Simon.

Good afternoon and namaste also from my side.

I am thrilled to share with you more details on our operations. First and foremost, I am proud to say that as an organization we stuck to our strategy and favoured liquidation over sell in; as has been our source of success for many quarters now. We believe to entertain the cleanest channel of the industry and have diligently expanded our go-to-market focusing on smallholder farmers and digital outreach.

On the sales side we have seen excellent uptake of our newly launched insecticide, Vayego, as well as continued growth in Laudis and our rice herbicide Council. Also corn seeds have performed well with spring corn being on par with a record last year despite productive challenges. On Roundup I am happy to say that against volume shortages last year we were able to maintain top line given positive price developments. Clearly things are normalizing from beginning of this calendar year with availability resuming and prices returning to more normal levels as well. This is causing some strains in the distribution system. We do believe that

with rain setting in and land preparation happening also Roundup consumption will follow the trend towards increased herbicide usage driven by labour shortage in agriculture. Horticulture, corn and paddy, achieved new heights. We have doubled down on brand building which I would refer to later still. Liquidation was slightly higher than sales, though they are converging now. Still we can deviate at quarter end and we will always follow the liquidation trail. Launch product liquidation is key as a measure to launch success and we are very happy with what we see here right now.

Farmers are increasingly picking up crop solutions especially where export orientation prevails. But also, the link between our corn seeds and Laudis, the corn herbicide remains very strong. We lead the industry in channel discipline, I am convinced of that. And as confirmed by our trade partners we are also seeing ever reducing return percentages which helps us to improve our overall operational efficiencies. Last year we did see good rains, though especially the northern belt was a bit undersupplied. Less disease pressure especially in potatoes reduced fungicide demand specifically towards the end of the year and Q4. We continue to see robust commodity prices leading

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it to good farm investment with some pressure specially during harvesting obviously still emerging which can harm sentiment. All this in essence led into good acres overall.

Where our focus in the last couple of years was clearly on stabilizing the underlying business, we performed, now our transform initiatives are clearly converging with an expanding our go-to-market strategy. We believe that Indian agriculture is collectivising, is mechanising, digitizing and becoming more sustainable.

In the subsequent slides we would dive a bit deeper into these things. First, I would like to highlight that Bayer CropScience is clearly aligning its activities with societal needs that can be met through agricultural

interventions. Our horticultural leadership is aimed at improving access to more nutritious food, catering to our nation's needs as well as enabling exports to regulated markets. We drive the adoption of Dry Direct Seeding in rice to reduce labour pressures and improve the water and methane footprint of paddy. Another major growth is to increase protein availability for feed, silage and fuel by a better corn yield through hybrids. We work on accelerating the availability of trade and support high density planting in cotton. We also focus on supporting yields and corn increases in all seeds, helping to reduce the need for imports. Offering specific tailored solutions to farmers by traditional and increasingly alternative channels like Better Farming Centres and ecommerce has elevated our impact. Bayer's offering expands over and above the physical portfolio. Being a thought leader at external forums, partnering with government and private stakeholders, driving value and outcomes. Our talent is industry leading and our ever expanding roots to market supplement our liquidation while expanding farmer reach substantially. We believe that the differentiator in the market will increasingly be understanding of the interaction of our agronomic interventions with the specific geological weather, nutrition and soil conditions at farm level. Here digital solutions are a pre-requisite to reach and support our 150 million farmers.

Ultimately, everything comes together at the village level. We have labelled our integrated go-to-market as Bayer Gram. At a Bayer Gram all the investments culminate. We consequently aim to ensure food and nutrition security while advancing sustainable agriculture - all to improve farmer income and livelihood. For this we connect all our activities holistically to serve the farmer and nation. We fundamentally believe that only a multi stakeholder ecosystem can solve the challenges faced by

agriculture and the whole food value chain.

Coming to the three themes around collectivization, mechanization, digitization and sustainability mentioned before it is clear that land ownership in India will continue to be atomized. Labour shortage on farm, consolidated offtake needs by industrial trading and processing companies as well as traceability demands by food value chain and end

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consumer will mandate more collectivized farming. Market research constantly confirms that there is still a knowledge access and trust gap in Indian agriculture. This is amplified by lack of access to finance and poor market linkage especially where the money system is not in place. With our more than 1500 Better Life Farming centres we and our partners cater to the farming community's needs by overcoming these challenges. Our BLF centres ensure quality inputs, disseminate agronomic knowledge, trade market linkages and offer financial solutions next to any other services. We have seen significant income increases for farmers that are linked to our BLF centres and targeted grooming of agri entrepreneurs amongst the many women has improved livelihoods in numerous communities. It is our aim to expand the concept further and make the service render even more relevant than they are today.

Clearly, we are not the only ones who have identified the need for collectivization. In the spirit of collaborative ecosystems, we are supporting the government's drive to increase the number of sustainable FPOs and are making it part and parcel of our activities. In many ways FPOs are an extension of our Better Life Farming approach. Some of them now even host BLF centres as they face similar challenges as individual farmers. Their collective adoption of practices and higher adherence to market needs allows for more scalable intervention from our side.

Now, drones are the talk of the nation, and we are convinced they solve a multitude of challenges that farmers increasingly face. We have been in the forefront of advocating for and guiding de-regulation and have started commercial services now. Be it labour shortage, fear of snake bites, precision of application, speed, operator safety or water savings, all are addressed with drones. Simply looking at the video that is

playing on the right side where you see a traditional knapsack versus the drone, I mean I would argue the video does speak for itself, doesn't it.

Now Covid has accelerated the digital connect to farmers, we are leveraging digital means to connect with farmers, deepen our brand recognition, drive knowledge dissemination and therewith build trust. Farmers are increasingly familiar with Facebook, and especially YouTube and actively seek advice online. Brand recognition and protection are key to ensure farmers invest in what will lead to the right outcomes for them. As mentioned before, access to original products and knowledge of how to use them currently, is still a challenge in the country. One feature to call out is the authentication functionality within Farm Rise, which allows farmers to scan their products they bought to see whether it's genuine. This is literally the first instance where we can follow through our product flow from factory to farmer and target our advice to the individual via digital connect. This is 10

potentially the most exciting development that I see today. Next slide please.

While sustainability has many angles, not least the profitability of farming per se, I would like us to focus on dry direct seeding of rice as a sustainable alternative to traditional transplanting and flooding. While labour shortage is the number one driver at farmer level, we see significant additional benefits around water conservation, methane emission reduction, and that makes the system future ready. We even believe farmers can earn from participating in carbon credit generation by changing their cultivation method

from transplanting paddy to

DSR. This is probably the single biggest sustainability intervention that can be imagined for Indian agriculture. We'll wait to see adoption at scale. With this, I would like to thank you for your attention, and hand back to D. Thank you very much

D. Narain Thank you Simon. All I can do is conclude by saying, the team here is super excited with all the opportunities that are there in front of us.

But we also know that this is not going to be easy. And a big part of this whole drive, which we started by saying we need to perform for today as we transform for both today and the future. And we think we have the right elements of the strategy to deliver on this. And what is also even more critical for this is, this will require, and you've already seen us doing it, strong engagement with all stakeholders to drive the policy changes and the support of the entire ecosystem to make all these real. And we are clearly on that journey, and as we look at the future, in number of these initiatives, we'll keep coming back to you. Of course, in some of them, we might have to pivot based on the learnings, but the bottom line in all these is, the innovation is no longer being driven by us as a pure product or a technology innovation company, but our strive is to innovate the entire ecosystem to deliver value for small farmers, improve farm incomes, and as Simon very clearly elucidated this sustainability at the core of everything that we will strive to deliver.

So thank you, and back to Nikunj for the Q&A.

Nikunj Savaliya Thank you very much for the detailed presentation and sharing comprehensive understanding of our company's operations, performance, as well as strategic growth drivers. We now open the session for Q&A, and I invite all three of you again for taking questions one by one. We have already received few questions right now, some of them are still flowing. What I'll essentially do is, I'll combine similar questions and make a broad question to all of you or put it to one of you. There are couple of questions which is seeking details about the breakup of the sales, the turnover. The question is, what is the breakup in sales in terms of domestic agro-chemical and corn seeds sales during the last financial year 2022-23? Simon Britsch, I think you can take this question to start with.

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Simon Britsch Sure. Very happy to answer this one, I think it's a recurring question. So during the year, domestic agro-chemicals contributed 81% and

domestic corn seeds was 13% of total sales.

Nikunj Savaliya Thanks Simon. There's another question you can also take. It's on Glyphosate. So during the year, what's been the contribution of Glyphosate in overall crop protection business growth?

Simon Britsch Overall, actually we saw a decline of RoundUp/ Glyphosate by 2% compared to the previous year, which was due to supply chain constraints .

Nikunj Savaliya There's another question on corn, Simon Wiebusch, you can take this.

How do we see maize business scale up? What is the current market share and target market share considering multiple product launches?

Simon Wiebusch Your audio was failing on me, but I think I got the gist. What I would say is, in India up until now, we've basically talking about two major grains, which have been rice and wheat. My personal perception is that we're starting to talk about a third one more and more, and that obviously is corn, maize. So, fundamentally I am convinced that, what we've seen also in a lot of other markets, corn becomes more important , and we see it in acre expansion, we see it in also in profitability for farmers to a certain degree and to the commodity price that is out there. We are the company that invests most into breeding globally, we have the biggest germ plasm pool. So , in many ways, we are well set to also have a strong position in corn in the country. And I can

tell you, whenever we're launching a hybrid with a good fit, we do that very very successfully. So, I'm very positive about our future for corn in the country.

Nikunj Savaliya Thank you , Simon. Couple of questions for new products. What is the percentage of revenue from new launches? Simon Britsch, perhaps you can take this question.

Simon Britsch It's difficult to hear. It was something about new launches?

Nikunj Savaliya Okay, let me repeat the question, if that's the case. The question is, what percentage of revenues come from new product launches?

Simon Britsch Okay, so how much share of revenue from new launches. So, you might know that in the recent past we've launched a couple of products like Vayego, Council Activ and also new hybrids of Dekalb in India. These launches represent, let's say, a high single -digit of last year's sales.

Nikunj Savaliya Okay, got it. Thanks Simon. There's another question on channel inventory and liquidation. Simon Wiebusch, I think you can take this.

What led to double -digit liquidation growth in Q4 FY23 when industry demand has largely been sluggish due to lower pest infestation?

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Simon Wiebusch Good work. (laughs). Quite honestly, as I've been alluding to, we are very very focused on liquidation in terms of how we incentivise our sales team. There has been good investment into chilly. To a certain degree, chilly was taking up quite a bit of insecticides, and generally, the new launch of Vayego , there was good business also in wheat and Momiji in the north. So, in many ways, a very successful Q1 in terms of liquidation, sorry Q4 , in this context, the 1st quarter of the calendar year; barring only fungicides and potato. So, that's the only one, potatoes and onions didn't take as many fungicides as we would have seen last year. Everywhere else we were quite happy. Also, a little bit better in apple than last year.

Nikunj Savaliya Thank you , Simon. Another question on inventory, Simon Britsch, perhaps you can take this. How much high cost inventory are we sitting on? When will it be liquidated and what are the reasons for increase in inventory levels in FY23?

Simon Britsch Okay, so let me answer it in the following way. So the higher inventories that you see in our balance sheet at the end of Q4, are mainly in preparation for the upcoming season and business growth, and there has also been an increase in the material cost.

Nikunj Savaliya Thank you. There are two more questions. The first one is, what is the contribution of overall sale of top five products in the overall sale in FY22 -23?

Simon Britsch You're asking about contribution of top five products , correct?

Nikunj Savaliya Yes.

Simon Britsch You know, our top five products, Dekalb, Round Up, Nativo, Laudis

and Council Activ , and similar to last year, this represents around 44% of our total domestic sales.

Nikunj Savaliya Thank you. The next question is, what are the key factors that enabled the company to hold its margin at such a high level despite falling Glyphosate prices and the channel inventory overall. Simon Britsch, I think you can take this question.

Simon Britsch Sure. So actually, we are able to slightly expand our gross margins. There are three main factors. One is the mixed effect from higher corn sales, second favour on the RoundUp pricing due to market shortage, and third is basically carry over benefits by having cheaper inventories that we saw in pre-crisis times .

Nikunj Savaliya Thanks Simon. There's another question on Glyphosate, Simon Wiebusch, you can take this. The question is for FY24, what sort of revenue decline do you expect for Glyphosate? Have Glyphosate prices already corrected by Q4 FY23? Are they expected to decline further in 1st quarter of FY24 ?

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Simon Wiebusch With all honesty, Glyphosate is a bit of a moving target which we know also from a global perspective. I think

what's fair to say is that the prices have come back quicker than in many ways would have been expected. Having said that, the market last year was extremely short. Which means, that we do believe that the availability of Glyphosate and the possibilities to place the quantities that the market needs, might help to compensate, and most probably will actually overcompensate the loss of price effect that we see with Glyphosate being more affordable. So in many ways, the underlying , let's say a normalised view on Glyphosate continues to show growth trajectory driven primarily by labour shortage in the country.

Nikunj Savaliya Thank you , Simon. There's another question. Please name the new products launch during FY23? How many new products do you expect to launch in the upcoming financial year, which is FY23 -24?

Simon Wiebusch I repeat myself here. I don't measure ourselves on new product launches as a number. That is absolutely irrelevant in our business, barring maybe in the corn seed business where really new launches are important to keep the portfolio fresh. I mean, looking at it right now, statistics, we have 29 label expansions coming, and potentially, 4 new product registrations are really in the registration pipeline. Whether they might be coming through or not, depends a little bit on when we get it through the regulatory body. And we are, as we speak, launching a new hybrid also in Kharif for corn. So, it is a continuous process for us. What is more important to me is, we want these launches to have success. So we put a lot of effort into launch preparation and also follow up. And as I said, before for me, the liquidation of a new product is really the measure. One thing is to push a new product into the channel and hope that it will go. But, much more important is really to say adoption and liquidation. That's where the focus lies. And, our portfolio overall, I'm referring to a product like Vayego quite frequently, is actually modernising and it's taking up a larger proportion of the sales. I believe, Simon was already saying 8%, which is a lot if you think of how a, especially crop portfolio can sustain over many many years.

Nikunj Savaliya There's another question, Simon Wiebusch, you may take it and D may pitch in if needed. Do you expect elevated channel inventories of agro - chemicals to depress industry growth in FY23 -24, next financial year?

Simon Wiebusch I said several times now, our channel is very clean and is ready to go for the season. I cannot speak for competition. Still, I do believe everybody is gearing up for a good Kharif season. So from that perspective, I think we need to speak after the season, if anything, to take a call whether there's a problem with channel imports.

Nikunj Savaliya Okay. There's another question. Are there any global updates on post pressure supply chain? Would you like to share anything? Simon Wiebusch may be you can take that.

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Simon Wiebusch I think it's fair to say that we are still in an inflationary environment globally. So, let's say operational expenses on a global level, and that

obviously also goes for the side of production or for production sides that continue to be higher than what we would have seen in the past. We know that in some areas of the world also energy prices are up. On the other hand, we also know that China is probably right now seeing rather a bit of deflationary pressure. On growth, I do believe that we will continue to see an elevated level of cost to goods on average in the agro-chemical area. And, definitely when you look at seeds, given just the simple fact of high commodity prices in corn and also to a certain degree in rice, means that the cost of goods on the side of seeds would definitely not be going down, but would rather be influenced by upward pressure.

Nikunj Savaliya Thank you Simon. Another question more on a future outlook. Simon Wiebusch,

maybe you can take this. Bayer has achieved excellent growth in crop protection and corn driven by good monsoon and strong portfolio of new products. What are our future plans in this segment? How do we plan to gain market share?

Simon Wiebusch Well, I hope that was also little bit of good work there. (laughs). But quite honestly, let's look at the fundamentals, right? We're a nation of 1.4 billion people. We know from all projections that with a growing middle-class or middle-income class, the demand for foods, especially nutritious food would grow. So, the market fundamentals in India per se are already so positive that we must be expecting growth. Personally, I do believe that we will see a drive towards quality, we will see farmers being more selective at what they use. Especially also, with the cause and effect that you can build with digital interventions, they would be looking for quality inputs which should play towards our strength. As I said, the integrated models, also the small holders and the reach that we've built is where we definitely want to go out. Let's say, an unscientific statement usually is, given my low single-digit acre share in this country, the growth opportunity is definitely statistically on my side. D, you might want to add something.

D. Narain No, I think you've said it all. I mean, they've said it before, right? This whole share thing needs to be looked at very differently, right? It's such a large market, we have to expand the market. And that means, the more you're able to create access to small holders, and you end up having your portfolio reaching to more small holders. That itself is where the real opportunity is. I don't think if he's looked at if we go back and look where we started 4-5 years ago, if we'd stuck to the typical competitive dynamics in saying hey this is whatever size of the market and let's play in that, that clearly, I don't think would have got us to where we are. So, for us, this whole ecosystem needs to be shaped very differently from the broader perspective.

And Simon, three weeks ago we had a horticulture forum in Delhi, and even for us, it was amazing when some of the statistics that were shared by the government, that the whole fruits and vegetables'

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production needs to go up by 3x to 4x in the next at least two decades or so, or even less than that, is a huge opportunity, and that cannot be just solved by just business as usual. So that's the way we are approaching. It's no longer just competition as usual, it's how do you create and grow into a market which doesn't exist today.

Nikunj Savaliya Thank you, Simon and D. The next question is on corn, and Simon Wiebusch, maybe you can take this. It's an elaborative one. Corn prices have increased year on year, which is good news for our company as corn is our key product. What trends in corn are we seeing for the coming year? Can you also share your future plans and outlook on this corn portfolio? We believe this to be an important growth driver as combined strength of corn pesticides and corn seeds can do miracles for our company.

Simon Wiebusch I partly referred to it before. Remember my statement third grain. Corn will become increasingly more important in India. And this is also linked to the demographics and what we were saying in terms of rising incomes. There is a need for more animal fodder. We see right now a segment opening up very very quickly, which is silage, to do also with feeding cattle, and the advantages of silage on milk production. And,

the third and not the least, which is a little bit forward looking, is the whole topic around fuel ethanol. The Indian Government has decided higher percentages of ethanol in traditional fuels, which will have an effect, most probably also on corn demand. Most important, corn is profitable. It is profitable for farmers and can actually fix better in certain cropping areas of th

e country, especially where water availability may not be so abundant. And, I believe we will be seeing a contraction of rice acres with more move towards direct seeding and potentially higher yields per acre, which will give more room also for corn. So, yes, absolutely right, we are a company which is well placed in corn and we will benefit out of more acres of corn. And I believe, we are also the ones who will be able to offer to farmers the white corn, which means the germ plasma that will perform best for what they need, be it need, be it, as I said, silage fodder, or be it, in that sense, also potentially energy and fuel.

Nikunj Savaliya Thank you , Simon. There is one question on the monsoon forecast and its impact. There is a lot of fear around El Nino , but IMD has still predicted a 96% normal rainfall. How do you think this will impact sales of crop protection and seed portfolio?

Simon Wiebusch Yeah. I'm not privy to any weather information which is not available for everybody else, and El Nino is Spanish to me. But, what is very clear is, Indian agriculture is influenced by monsoon, and that is something I cannot completely leave aside. Still, we have as an organisation, worked very very hard during the bad monsoon years, if I may call them so, to be come more resilient and be as an organisation more agile to moving to areas which I call green spots. Last year we had a good percentage monsoon, but we had a very poor distribution if you look at the Ganga plains and the central part and north central 16

part of the country. And that means, you need to then see where is crop being grown, and that might potentially also lead to more, let's say, feet on the ground to make sure you also generate the liquidation there. Long story short, we always plan with a normal monsoon and a good distribution, but we are agile to move wherever its necessary. And, if the monsoon doesn't fill the dams, then it's very clear t hat this will have an effect on the later part of the season, and that's something that we will have to deal with at that time .

Nikunj Savaliya Thank you , Simon. We have just completed our schedule time of 5 p.m. but, I'll still take two more questions he re. The first one is about industry market and global landscape, a little longer one, and perhaps D and Simon Wiebusch, you can take this. Of the total investment which is happening in Europe by European companies, there has been a shift of investment by c ompanies and new investment is now happening in USA. USA has cheap land, cheaper resource of energy due to shell gas, and faster approval process for setting up a plant. Could this be considered as a threat for companies here in India, where the shift of i nvestment from Europe to USA instead of India, could refrain India of taking the advantage of Europe + 1 strategy?

Simon Wiebusch I'll try to give it a quick on e, and then maybe D, you come in. India is in a global competition, as everybody knows. Now when you talk about Europe + 1, I assume you're talking about production. It is true that with the regulation, with the Ukraine war, with general assumptions, produc tion in Europe, especially of basic chemicals, is most probably not going to be the area of future investment. And yes it is true, India is here competing probably primarily with something like the United States. My personal view is, everybody will always atleast look at India, and it's India's chance to ensure that people understand. It is a future market, it is a huge market, and that is, to my mind, the most important thing to always keep in the back of our heads. Personally, if I were to invest, I would always look at the local potential demand, because you never know how international trade flows will move and say where do I have potentially footprint weaknesses versus other geographic al areas.

The next one to me is, yes, India is giving certain incent ives, but we

all

know that there is also challenges and the more as we see positive trends there. Also, the Indian Government ensures that, let's say, foreign investment and local companies can act competitively. The probability of India being a large player in any of all fields and D was alluding to the opportunity also to be a major food exporter. And to that point I believe, especially in horticulture, we have these opportunities. We are going to be a player. Don't think anything in the next 20 -30 years without India at the back of your mind. D?

D. Narain No Simon, I think you said it all. The only additional point I'll add is, if there is one learning coming out of COVID for the entire industry globally is, don't put all your eggs in one basket. So, this whole thing about Europe + 1, is it US, is it India? I think clearly, it is going to be

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well spread out to diversify the risk. But even more important I think Simon is, your point. What will drive investments will be global competitiveness. And the more we can be competitive at a global scale with the strong domestic market itself as a strong base, I think the chances of attracting investments here will continue to be significant. So, I think it's early stages, but I do really believe India stands a very strong competitive position to also have a strong base going into the future.

Nikunj Savaliya Thank you , Simon and D. I'll take the last question which is on operating expenses, and I think Simon Britsch can take this question.

Considering downward trend in other expenses in Q4 FY22 -23, whether this reduction could be more of a recurring number going forward?

Simon Britsch Okay, so the downward trend that we saw in the other expenses in Q4, let's say, was mainly driven by two factors. One is that which is more accounting measure, because this is a position where you will also show the incentive in kinds. When the previous year we had the best share of the 3-year program and this year only 1 year program, that's one factor. And the second one is also reduced logistics cost, because we also had less exports in that quarter. So overall, I would say, for operating expenses, we saw the expenses growing in line with inflation. Needless to say, we have also now initiated measures in the last quarter now to further focus on being cost conscious, while still investing into future growth and also alternate business models.

Nikunj Savaliya Thank you , Simon. So, with that , that was the last question we received. There are 2 -3 more questions, I think we'll reach out to the shareholders with our answers.

Ladies and gentlemen, I would like to express my appreciation to each and every one of you who are joining us today. Your support and belief in our vision has been instrumental in driving our success, and we are truly grateful for your partnership. As we conclude this Annual Investor Meet, I encourage you to carry forward this enthusiasm and insights gained from today's discussion. We remain committed to providing you with information and the resources needed to make informed choices. On behalf of the entire company, I extend my best wishes for your wellbeing and success. And with this, I close this investor meet. Thank you once again.

END OF TRANSCRIPT

Call: Aug 2024

August 21 , 2024

To,
The General Manager ,
Department of Corporate Services ,
BSE Limited ,
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai – 400 001.

SECURITY ID : BAYERCROP
SECURITY CODE : 506285

Dear Sir / Madam,

Subject: Transcript of Investor Meet held on
August 14, 2024

In furtherance to our letters dated August 09, 2024 and August 14, 2024, pursuant to Regulation 30 read with Part A of Para A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, disclosure of the transcript of the Investor Meet held on August 14, 2024, has been made on the website of the Company at www.bayer.in as well as submitted to the Stock Exchange for dissemination and records.

Thanking you.

Yours faithfully,
for Bayer CropScience Limited

Bharati Shetty
Company Secretary and Compliance Officer
(Membership No. ACS 24199)

Encl: As above

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Transcript of the Investor Meet of Bayer CropScience Limited held on Wednesday,
August 14, 2024

Commencement Time: 04:00 pm IST
End Time: 5:20 pm IST

Management Participants:

Mr. Simon -Thorsten Wiebusch - Vice Chairman & Managing Director and Chief Executive
Officer

Mr. Simon Britsch - Executive Director & Chief Financial Officer
Ms. Bharati Shetty - Company Secretary & Compliance Officer

Ms. Bharati Shetty Good evening, everyone and Namaste. A warm welcome to each one of you at the Investor Meet 2024 of Bayer CropScience Limited. It is indeed our pleasure to meet you all in person after several years. My name is Bharati Shetty. I am the Company Secretary and Compliance Officer of the company. Please note that we are recording this interaction and the same will be available on the website of the company. The presentation

for today's Investor Meet has been uploaded on the website of the company as well as on BSE limited. Let me now introduce the Bayer management team present on the dais. Mr. Simon -Thorsten Wiebusch , Vice Chairman, Managing Director & Chief Executive Officer and Mr. Simon Britsch, Executive Director and Chief Financial Officer of the company. Throughout this event, we aim to provide you with an overview of our company's operations, financial performance and strategic growth drivers. The sequence of today's meeting will be to start with the presentation by the management team followed by the Question & Answer session. We will attempt to answer as many questions as possible except for items of commercial confidence, forward- looking or falling in the category of unpublished price sensitive information. If due to paucity of time any questions remain unanswered, please reach out to us at ir_bcs@bayer.com . With that, I now request Mr. Simon Wiebusch for his opening remarks.

Mr. Simon -

Thorsten Wiebusch Alright. First of all, before I forget, Happy Independence Day. Thank you for taking the time for coming. Sorry to do this just before that holiday, but I hope it will be worthwhile for everybody. Be outright with the questions. We will try to answer what we can, as Bharati said. Let me give you a quick let's say macro view on how we see agriculture and India basically playing out for the company. All the key drivers that we might have been speaking about in the past were really looking forward seemed to accelerate, yeah. Now, when we look at population just in India, not just are we the biggest country with 1.4 billion, but actually in many ways we're one of the most under-nurtured, but with the fastest growing economy, which basically means

means in terms of fundamental need for higher value food, this is probably the country where it's going to happen quickest than most. Now, when we look at the market it sells, it is a very competitive market and you would have seen that in how some of margins play out, how prices have been playing out, so that will be an interesting one to have some discussions about, but fundamentally again,

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we are finding something which probably first appeared during the COVID era, which is that there is labor shortage in the market and labor shortage means that the market is actually what I would call normalizing. India is still the only large agricultural market in the world where herbicides do not dominate the business. We are still an insecticide market. This is changing very, very quickly and herbicides usually lend themselves to more technical and advisory heavy interaction with farmers. Climate change, I'm not going to spend too much time on because I'm sure we're going to talk about the weather, but again, in India, while definitely being impacted by climate change and global warming actually due to the size and the and the and the Geo positioning of the country will be seen very diverse effects where it gets drier in some areas, it will actually get wetter in others. So, what we're seeing is a shift in crop patterns year-on-year, which we would not have seen in the past and we expect this to continue in the country. Yes, also in India, we have a lot more discussion about residues. Now, this is still driven primarily by exports, because Basmati and Tea is probably the ones that you are very aware of, but general public awareness as to residues in food is rising very, very quickly, which is leading also to traders, to the whole food value chain looking at how is the food in India actually being produced.

Global trade dynamics. Just when you look at the budget, what have we been talking about? Importing edible oils, but more exciting to me

creating horticultural clusters for export. Now, when you combine that with what I said before in terms of climate change, I fundamentally believe India has an opportunity to become the horticultural production export hub of the world. First and foremost to feed ourselves, but much more going forward feeding the world with nutritious food. The other topic, which is a little bit negative at this point, is availability of containers and all these operational things, which unfortunately is a topic and does have effects on how the business sometimes looks.

Technological financial innovations, I mean, I'm not going to go into that. You're fully aware, right, but also government policies are as I said, when you look at the budget, clearly looking at how can we improve agriculture and they do talk about mechanization, they do talk about collectivization, FPO's, and there's always discussions around digital and sustainability as well. So, in many ways it's very very important always to see this is a long-term business we're in, yeah and when we go into the figures, I will tell you, you saw a very honest Q1, very important to realize that we are in the business of running long-term. We are not steering the business on the quarterly and we're ensuring that when, as we have it now, with bad water availability, poor water availability or whatever you want to call it, we actually improve our business and don't fill the channel with material. So, with this. I'd like to pause, hand over to Simon to go a little bit deeper into the figures and then we'll go back and look at the business as well. Thank you.

Mr. Simon Britsch Thank you, Simon. This is Simon. Also, warm welcome and happy afternoon to all of you. I'm very happy that you made the time to come

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here and also for your interest in what we're having to say. I'm very much looking forward to exchange and also to your questions because t

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always helps us to understand what's on your mind and also inspires our thinking and action for sure. I realize I have to press this. So I'm going to talk about the first part of this presentation perform from the financial view and then Simon later on to talk also more on the business or commercial aspects in the perform, transform and partnership and sustainability pieces.

So, for the financial performance. I know this is usually not the most interesting part, because that's very much looking in the rearview mirror and I'm sure, you're aware of these numbers. I just would like to highlight a few points. So, revenue from operations, last year more or less, I mean compared to the year before, we stayed flat and you mentioned some of the aspects on the one hand, weather was not really favorable then what

we also saw having let's say a headwind impact was the pricing for Roundup™ that we could command, but one very important aspect that you might not see and we'll get into more detail on that later is that we had a very good development when it comes to our Corn seed portfolio, really strong growth in the last year. So, in the end, that helped us to stay flat. I think what's very important to manage that we still put a lot of focus on OpEx and maintaining profitability. So, even in that very difficult flattish year, we're able to increase profit by 6.2% and that is on the basis of really, really looking into how we spend the money in the

OpEx. Some more on that, I'll share later. Therefore, I mean earnings per share is slight decrease, but remember in the previous year there were

some exceptional items, so we had a divestment of our environmental science business. So, that's still very good that we were able to, as I said, increase profitability. The other aspects I mean how much of the dividends we are sharing and ROCE, I'm going to get to later.

Q1, as you said, difficult. So, we saw some volume reduction in our agrochemicals portfolio and also in Corn. So, in corn you might know there was overall production shortage in the whole industry. So, we were

able to somewhat compensate with some price increases, but not

completely. So, therefore, that had an impact on the top line, but of course with let's say, lower production but same production costs, more or less, that also trickles then down to gross margin and profit. So, that's

basically the effect that we are seeing. When you look in the absolute numbers in terms of OpEx, quarter-over-quarter they stayed flat. So, that's very important for us to know that even though with inflation and salary increases, we didn't increase OpEx. So, the impact you see on the profit is mostly because of some volume impact in the agrochemicals, but predominantly also the higher cost in Corn that we couldn't completely turn over to the market by price increases. Now, looking back even more in the rearview mirror. So, what's our performance over the last five years? And I think very important what

you said Simon, we're not here to manage the short-term, we are here to manage long-term and we've been in India also for more than 125 years

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and intend to stay here much longer than that as well. So, what we think is we are quite successful in expanding our top line. So, CAGR of 9% while also very, very prudently managing OpEx. So, you see OpEx, CAGR is only 6.1% that's also well below inflation and also therefore put us into a position to also have a much better or let's say very positive development on the OpEx to sales ratio that we have very much keen focus on.

So, managing OpEx for us doesn't mean to risk the long-term. So, we are very much investing into digital capabilities and into improving our channels. I think Simon will share more on that later, but that's very important. We're not sacrificing the future for profitability in the short-term.

EPS, I think I talked about it. So, both 21- 22,

22- 23 impacted by one

time effects. So, in 21- 22 we had the divestment of some seeds with Crystal and as I said in 22-23, the Environmental Science divestment which led to some exceptional income. But if you were to correct for these factors, we've been able to expand EPS throughout the last five years. And that in an environment where we have faced higher COGS, I think that's also one factor I didn't mention in the last year. Simon alluded to it with the supply chain challenges also as you might know, we have lots of our production base in Europe. So, that was also heavily impacted by the Ukraine-Russia conflict. So, all of these topics, we were able to manage and command still good profits for our shareholders.

One thing is profit, I mean yes, you know, profit is a concept, cash is real so and that's why I would also like to highlight the fact that not only do

we have nice profit, but also we turned that into cash from operations.

So, as you see 76% of the profit is turned into cash from operations and more importantly, we are not shy to keep this cash in our pockets, but we're happy to share. So, cumulative more than 80% of the cash flow

that we generated was shared with our shareholders through dividends.

The rest, as I mentioned, we invest into our future and I think we've been very, very prudent in how we spend the money, that's also what you see in the ROCE on the righthand side, that we will also continuously be able to

expand. Also, I think you see this asterisk there that shareholders have not yet approved the dividend for the last financial year. This happened today. So, we just had our AGM this morning and also dividend has been

approved, so the numbers that stand here also now confirmed.

Last and not least, we are also reporting our BRSR figures for the second time now, and I just would like to give you a short snapshot on where we are. I think we are quite happy to say that we were able to significantly increase the energy that we source from renewable sources, so that is both through some investments into solar, but also by changing the way how we purchase energy from providers, which then mostly comes now from renewables.

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GHG, so scope one, we were also able to reduce. Honestly, one major factor here that contributed was also that we had somewhat reduced production levels in the last year. But overall that is something that we constantly look out for small improvements. So, how can we move away from fuel-based consumption and move this for example using gas and other factors. Total waste also reduced in the last year, so very much focusing on recycling the materials that we use. And last, but not the least,

improving gender diversity. I think year-on-year this is quite stable the ratio that we see here. But we are seeing or we have the new high as you see that there's a much higher level of female

employees that we hired in the last year and therefore we are also quite confident that we are going to reach the targets that we set ourselves for 2030 in that extent. Now, that was, as I said, a short snapshot probably not many news for you as that is normally looking to the rearview mirror, but I'll hand over back to Simon to shed some more color on what other factors behind and what's on our mind in terms of our commercial development. Thank you.

Mr. Simon -

Thorsten Wiebusch Alright. Thank you very much. A bit of a busy slide, but I mentioned it.

We're actually quite proud of the performance that we delivered and when you look really what all has been moving, there was a lot of moving parts during the last year specifically on the weather side of things and unfortunately this even led into production issues which we had with our corn seed portfolio, which carried a little bit into Q1, but what is very,

very important also is Q1 is probably the worst time to look at the performance of a business in agriculture when you're dependent

on the

monsoon. So, you're fully aware that the monsoon came on time, but really took its time until it went into the North, a lot of heat up there, and

quite honestly from the weather conditions that we saw last year, a lot of issues in the channel, in the western part of the country, which led us really to say, hey, let's collect before we replenish the channel. Yeah.

Couple of topics around liquidation where this is for us the measure to look at and we had a positive liquidation in Q1 and that is really what is

our guiding light always, whether we're on the right track or not? It's a little bit lower than I would personally have liked to see it, but again here certain weather conditions led to some of the herbicide and some of the insecticide applications just not taking place. When we would expect

them to happen? We are also probably a loss here or there, right. Now, you'll see a lot of erratic movements in the markets. We've seen a lot of

business in soy herbicides, for example, which we just simply are not in, right. I have a personal conviction, which is there's only one Soy herbicide, which works, and that's Roundup. If you're on HT Soy, we're not on HT in this country, so therefore you will be seeing that there are certain segments which just came up this year, which are skewing the picture a little bit.

We've put a lot of efforts into de-risking our business in terms of weather over the last couple of years. Now, we're not completely immune, obviously, right. So, when the monsoon distributions as it was last year and we don't have water in the dams in the South, that will have an effect

no matter, but we have overall positioned ourselves quite nicely across

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the country and I'm really looking forward to the second half of the year in terms of how things will develop.

Commodity prices, you're pretty well aware of. They are hovering at a good level, right. So, while we see ups and downs, we at least are not seeing downs to the point where people get super concerned and again what I'm perceiving at this point is the crops also look quite good. There's good demand in the markets. The whole value chain is looking forward to good yields, so overall I'm quite satisfied with what I see out there in

terms of agricultural activity. 25 years of Dekalb, you might have seen it before, 50 years of roundup. This this is a year where, again, to a certain degree, for us, it just reminds us of the longevity of the business, right.

We have a lot of long-standing brands in the market and there's always questions coming also on new launches. We had a number, but it's really, really important to realize that this is a business where consistency with farmers is important and whenever we're launching a new Dekalb hybrid right now, we tend to be seeing farmers happily going after it and that's really the big topic next to what I was saying in terms of the whole market

taking up more herbicides. We have a third grain in the country. When I came here a couple of years ago, we talked about wheat and rice the other way around only. Nowadays, wherever I go, we talk rice, wheat, and corn and the demand for corn is significantly, significantly outgrowing what we can currently supply. So, where I had an issue this year because basically a cyclone blowing out my production. I see this going forward. Generally, we still have an issue not

having enough parent

seeds in the country. So, going forward there is definitely going to be a move towards more corn consumption. We even see the country starting to import some corn here or there and almost the industry trying to catch up with being able to produce enough corn seeds to be able to supply this. Yeah, it's still clearly dominated by animal fodder, which will continue to be, but you hear a lot of discussion obviously around ethanol and I think the moment we get new data coming in, you're going to be seeing the ethanol

part really also taking up a larger proportion, if I'm not mistaken more than 20 ethanol plants just in Bihar that have opened up lately, right. So, that's really something where again we believe to be in the right business. We are in many ways a leader in corn and see this to

be a growth opportunity going forward in a big way. Now, Simon was alluding to it. Not only do we look at managing our OpEx and being efficient in how we go about our business, but we're also evolving the business and many of you might have heard about dynamic shared ownership also from our mother organization.

Now, I believe dynamic shared ownership lends itself very, very nicely to India because in the end, being close to the customer, interacting with customers here, and being entrepreneurial is what has been our success basis all along. We need to be good at channel management, but I'll tell you honestly, the interaction with the farmer is where we win consistently, and that is where this model really helps us to put the focus, get the teams

on the ground to take the right decisions, which are in favor of the farmer

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and their respective customers and that's what we're driving really forward towards and we are on a global scale the first country that's really gone into full customer facing model on the basis of this and I am confident this will lead into better customer service and better business for us going forward as well. While looking at the short term, we consistently invest into the long-term right and be a topic around regenerative agriculture

our goal into it a little bit more on direct seeded rice later on, right, but specifically the food value chain. If there's one thing in this country where

we're still weak, it is the food value chain. We could produce very nice produce on the tree, but we struggle to get it into the markets in the cities and that is then escalated if we want to export, but we have examples

where we're globally competitive and I am convinced this is where you're going to be seeing the biggest transformation in the country. Yes, we

need regulations to support. Yes, we need right technology to be

competitive, but I think in the end, the food value chain upgrading which is happening in the country with the help also of digital tools and a lot of

startups is going to be the game changer for the country.

Now, we've spoken about better life farming in the past and where I'm excited about it's really evolving right now. We had IFC do a yeah impact assessment as they call it and we can prove that if a farmer interacts with buyer and better life farming centers, he's going to be more profitable.

Now, that is great if I hand hold them, but how do I scale it? And this is where we're starting to see up-shoots where the entrepreneurs are really

starting to operate on their own, where this is starting to be a new go to market for me where buyer literally starting to own the retail and this not

just as we started out initially just in the underserved areas, but also in more let's say productive areas of the country and combining this with Farmer producer organizations is really where we want to come to make sure that we can also help farming collectivize and connect it to the food value chains.

Farmer producer organizations, again, a lot of data here, but this is, to my mind the route to professionalization of farming in India. We are the

biggest producer of tractors in terms of number in the world, but we're the lowest per farmer on average tractor users in the world. Now, this is partly to do with our farm size, but we are convinced that the atomization of farm ownership or land ownership will continue. So, the only way for things to go forward and we remember we were talking about labor shortage etc., really is professionalization via collectivization and that's in this country is going to be via FPO's. It's a stoney route. There's a lot of FPO's which

ch are still defunct, but we're starting to see not just the two or three, which everybody knows that are starting to work really, really professionally and when you start connecting them with off takers, it starts getting interesting and the more you get farther, producers buying, the more you get processors, food processors, buying, the more you can really also get these links up and what we see with an improved supply chain for fresh goods in the country, the need for collective buying, the need for grading, the need for quality testing is really coming up quickly

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and that is where be it via cold storage chains, etc., we're starting to see better produce being more consistently available also in the metros. If you look at how we're seeing extended seasons right now, availability of mangoes, availability of blueberries, etc., just watch what's happening in the markets right now. This hasn't been the case before. That is a sign that the food value chains in the country are improving and an improved food value chain needs better quality, better grading, better consistency in the produce and that's where FPO's are doing their part. Just a couple

of pictures always nice. Lot of discussions around drones, lots of regulatory approvals also, I think we had 20 or so of our labels expanded to drones lately. Honestly, technology is still a bit in its nascency, but where you get farmers ordering together, where you get real time advantages. Sometimes, to my surprise, in areas where I didn't expect it, we see it for example, in low crops like chili, because of the speed, because of the number of sprays needed more than in the difficult crops where I

would have expected it like Paddy rice, but it is picking up and in some areas I think we can confidently say that drone spray will pick up in the country over the next couple of years and might actually be that step change where we've been using the knapsack much longer than others where others were going on to boom sprayers on their tractors. We might actually be skipping the boom sprayers a bit and going straight to drone in some areas, yeah.

So, that's quite interesting and mechanization also for direct Seeding, I'll come to it later on is picking up and is really a necessity here for the

country. Now, again, digital is exploding and that's all I want to be saying here. Yeah, COVID being the catalyst where it was in need, we see

farmers consistently getting information via digital channels. We see the uptake coming on our own platforms exponentially and we're starting to

see use cases which really are sensible for farmers. So, where in the past we would have had a lot of investments on getting farmers to check mandi prices on FarmRise. Today, they scan their, yeah what do I call it?

Their products that they've bought from us to check whether it's authentic, to get loyalty points, and with that obviously give us a lot of information for the second part of the channel. Up until now, we are reasonably clear on what lies in the channel and when does it go to retail,

but now we can increasingly also see when does the farmer have it on the field and potentially spray it, right. So, that's where we're using and seeing digital interaction with farms coming up, but also a lot of activities, YouTube, WhatsApp, where farmers really inform themselves and call then our guys to show them how it works on the field. So, really, really interesting that you get more of a targeted pool versus just saying, oh, you have a farmer meeting that farmers beforehand almost tell you what they want to know about. This is a little bit where integrated business models are starting to work.

Yeah, we've been dreaming about this for quite some time, but we would usually have been finding that in the one on the other side it doesn't work. Either there wasn't an off taker for the market linkage or there was no

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finance because the farmers wo

uldn't have had collateral and we are now

starting to find partnerships which really work this through where we can help farmers not just buy their inputs pre-finance, get access to

mechanization, but then also sell potentially at a premium. Now, for us the interesting part is here how can we monetize it?

And this is the first

model where we actually are monetizing the full value chain. So, this is where I get excited to sit here and say I might in future not just be dependent on selling corn seeds and pesticides only if you like, but that I can actually participate in the value creation throughout the value chain,

which we very much influence in a positive manner important to us. We always do the impact assessment that the farmer actually benefits out of these interactions. This is probably the biggest agronomic intervention that the country needs most. We're 44 million hectares of rice. Most of

it is puddled transplanted, some of it is direct seeded, but honestly saying not very professionally.

Now, when you look at what we're saying in terms of weather conditions developing, when you look at also what we've been seeing with no water availability in dams in the South, a lot of it is interlinked also with may I say it wasting water to produce rice in a manner which in today's world is not the way to do it any longer. So, we are convinced that the direct seeding of rice will have to pick up and it has been sustained so far by cheap labor. With cheap labor no longer being available, farmers are interested in direct seeding. They weren't interested when we told them you're using too much water, but the moment that they have a labor shortage, the interest comes up.

Now, we collectively have the interest on the water side quite clearly, especially also because the current practice does emit a lot of methane, which is the next opportunity to say, hey, where can we reduce our greenhouse gas emission footprint as a country, we can do it on 44 million hectares of rice, which is very, very substantial. So, where today you will be hearing also some Professors telling you we are exporting water when

we export cheap rice. This is an opportunity to continue to be a rice exporting nation, but potentially reduce the burden of water export. So, we're really excited about this and when you look at it in a full system, when you look how breeding technology has helped to already produce

rice seeds, which lend themselves to direct seeding, but opportunistically, you breed specifically for direct seeding, that is where the whole model starts really to be interesting and many of you are aware we are seeing also

non-GM HT technology going into rice right now backed by ICAR, so that is also an option to support direct seeding. Now, you put that on to good germ plasma and you will probably have a very, very good solution for farmers. So, this is where a lot of things are happening and it's one to watch. We've been growing rice the same way

for I don't know,

thousands, millions of years, whatever. This is the inflection point right now and India can be one of the countries to really step ahead. Yeah, on

that positive note, Bharati.

Ms. Bharati Shetty Thank you. Thank you, Simon and Simon for the comprehensive presentation. We will now open the session for question and answer. If

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you may wish to ask a question, please raise your hand and mic will reach you. Kindly state your name as well as the organization that you represent and then proceed with your question.

Mr. Prashant Biyani

– Elara Capital This is Prashant from Elara Capital. Simon, since you have come every year, the liquidation growth has been higher than placement. So, when will the channel be extinguished with all this stock and we are going to see placement growth higher than liquidation?

Mr. Simon -

Thorsten Wiebusch I think if you were to look at our data, we are very close now. So, usually, the spread

reads to use your terminology today is 2 to 3 percentage points, if at all, if at all, right. Now, this will always be because we do have certain times when you put product into the channel where you then liquidate it and where we need to report figures, but I would say that 85½% I'm convinced that I have the cleanest channel on almost all My Portfolio, almost all My Portfolio. When I have situations like we have now in the South where the chilly season completely is blown out and this happens after some material has been placed, you get the spread going up, but you would have seen that we have not really sold into the channel also in December and the same again to a certain degree in March. So, I have a clean channel, I can confidently say that and the spread by now is very, very low, but we did come at times from the spread of 15% or so. Yeah. Usually, we would keep a maximum of two months in the channel.

Mr. Prashant Biyani

– Elara Capital Seed supply is in a huge shortage, yet we were not able to pass on the cost inflation in corn seed, why is it that?

Mr. Simon -

Thorsten Wiebusch Because we are serious people. Prashant, there was a clear shortage of seeds. The moment we started to supply, we got calls from Chief Ministers. Yeah, you remember what phase it was at that time, which was important for the country. It was not the time to hike up corn prices.

Now, did we take a blow on margin that I would have otherwise wanted to avoid? Yes, I could not compensate the loss of volume. I did probably compensate a little bit too little of the cost increase, because unfortunately, when you produce seeds, your cost of goods is correlated by your yields. Now, when the yields are down, my cost of goods just go out the window because I need to compensate farmers.

We had another topic, which is one which I need to watch more, which is, generally we had very good commodity prices and we did have an issue that certain farmers were not willing to take the burden of producing hybrids for sale, but would rather produce just commercial seeds or commercial crops because the spread that we usually will be having, i.e., what we pay the farmer for his acre over and above what he would get from producing just corn to sell, has been squeezed a bit. So even going forward, we have a bit of a concern that in especially the traditional seed growing areas, not only do we have a weather risk, but we have the risk that certain farmers are just not willing to take that burden of producing for us. And that means we need to work with the whole supply chain and also look at alternative areas in the country, and building these supply chains is not so easy. So while cranking up a plant to produce a little bit more chemical is something I can do with another shift and easily and quickly usually do, with seed production it's very, very different and this is something that we need to watch a little bit in the country. It's no longer

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that you get very cheap seed production, I mean also the labour cost obviously plays in there. So I hope that helps you a bit.

Mr. Prashant Biyani

– Elara Capital Lastly, you have mentioned about the opportunity size for maize. Where are we on the maize seed capacity utilization as well as the capacity expansion plans for it?

Mr. Simon -

Thorsten Wiebusch Now, I don't know what you mean with capacity utilization at this point.

Where are we? India has, as far as I know the country, I don't know it that long, right? But when I came here and initially got interested in maize, there was a very clear statement. Corn maize in India price does not correlate with global corn prices because we are not a trading partner. Neither do we import, nor do we export. We produce just enough corn for ourselves, "thank you very much". This has changed in the last two years significantly, to a point that we're even now talking MSPs for corn. Now that has political reasons

as well, but it gives you a sense that the consumption capacity of the country is significantly higher today than probably the production capacity that we're seeing. Is especially ethanol always going to, let's say, revolute a little bit around what is access to oil prices? And India currently has a bit of an advantage there. What is regulation? So how much, as a percentage, do I need to blend or not? But the underlying need... and I still believe a lot of the ethanol actually goes into human consumption and is not even yet where it should be in terms of using it for fuels. I don't have data on it, but it's a bit the sense I get when I speak with ethanol producers.

Mr. Prashant Biyani

- Elara Capital My question is for Bayer, what is our capacity to produce maize seed and what are the expansions planned for expanding that capacity?

Mr. Simon -

Thorsten Wiebusch Yeah, that's what I said before. I mean, we usually would have been saying the maximum corn seed production volume that we would be looking at as a company was short of 30 million tons... 30,000 tons, right?

Currently, I cannot produce 30,000 tons because, as I say, there was an issue with the production area and I also have a shortage of parent seeds. I cannot tell you now whether I could have sold significantly more than

30,000 tons, but I personally feel we need to go above that barrier. So that's a little bit where I would lie. How much could I really sell in the best of scenarios is hard to say because we just haven't been there. It is a new thing for us to be maxing out on our corn seeds. Usually, we would have had more production capacity and more seeds available than I could sell. This is not the case right now.

Mr. Prashant Biyani

- Elara Capital Thanks.

Mr. Simon Britsch But maybe it helps to clarify that for corn production, we don't need any CapEx, right. This is very contract growers who grow on our behalf. And that's the constraint you mentioned, right, with commodity prices and how attractive is it for a grower to be contracted by us versus doing something else.

Mr. Simon -

Thorsten Wiebusch Absolutely. It's a more complex supply chain, but yes, it's true. In many ways, it is more flexible in terms of costs. You don't need to put steel on the ground.

Mr. Prashant Biyani

- Elara Capital Thank you.

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Mr. Abhijit Akella -

Kotak Securities This is Abhijit from Kotak Securities. Thank you for the opportunity. Just a few data-related questions, if I may? One is on the revenue split for the 1st Quarter between your corn seeds business, the agrochemicals business, exports, and if Roundup, you know, if you would break out Roundup as well.

Mr. Simon Britsch Sure, happy to share. So, we normally don't separate out Roundup. So that is part of what I call agrochemicals, right. So and normally, that's around 80%. So in the first quarter we saw, and as you said, I mean, the first quarter is not a good cursor for the future. But anyway, that you asked, so 72% is for agrochemicals, and around 22% for Corn. So, on a full-year basis, as I said, that's normally 80% is then agrochemicals, 15-16% I mean, we saw a good growth in Corn and also hope to continue that in the future, is around 16%, and the rest is then the rest.

Mr. Abhijit Akella -

Kotak Securities Got it. And while you broke out the names of your top products in some of the slides, what percent of revenues come from the top 5 and what percent from products launched in the last four years, if you will?

Mr. Simon Britsch Top five is around 48%. For the ones that we launched, that number I have to check, but it's not double-digit, I would say.

Mr. Simon -

Thorsten Wiebusch Not even double-digit at this point.

Mr. Abhijit Akella -

Kotak Securities Also, in terms of breakdown by crop, can we still assume that horticulture, corn, maybe... are these the two major segments? And if so, what would they contribute as percent of revenues?

nues?

Mr. Simon -

Thorsten Wiebusch I didn't get it 100%. You're asking which crop is most profitable to do business in?

Mr. Abhijit Akella -

Kotak Securities No, just the breakdown of your revenue by crop.

Mr. Simon -

Thorsten Wiebusch We don't usually break it out by crop. But I mean, Simon gave you an indication. Obviously, corn would also have the corn herbicide business to add to it, so it's probably in the range of, I don't know, gut feeling 22%, something like that, in a good herbicide season. Clearly, the biggest business we tend to have is fruit and vegetables, although rice can be important when it really is a year where there's a lot of fungicide usage coming up top. But I think it is fair to say fruit and vegetable, then corn, and then probably rice and everything else to stand a little bit along the lines. Abhijit? Correct? Okay. Thank you.

Mr. Abhijit Akella -

Kotak Securities Thank you. Maybe just one last one from me before I hand over. Just on the expense line items, so there have been some significant declines last year; advertisement, promotion, publicity, then I guess employee costs as

well. Conversely, the increase in gross margins. So, if you could please just help us understand what's going on there?

Mr. Simon Britsch Sure. So, for the promo, that is mostly due to the fact that we changed how we incentivize our customers. I think you briefly mentioned it, so we have loyalty programs in place where in the past we would have no direct transfer of funds to these customers, which we now changed. So therefore, that is more an accounting matter that is now shown in the gross to net and not as part of the promo expense. So, we have not cut down significantly promo expense, but rather expanded it, also using digital channels, what Simon alluded to. And the employee expenses, so

13 there are two major factors. So, one is around taking measures to structure the Company in the best way. So that we took already last year, and you see we still have some provisions for the future, but major work has been done. And another main factor in the employee expenses were that we run a global incentive program, and therefore top managerial positions were negatively impacted by that, which then had also an impact on our employee expenses in the listed entity in the last year. So, these are the two main drivers there.

Mr. Abhijit Akella -

Kotak Securities Just the gross margins as well?

Mr. Simon Britsch What exactly is your question on the gross margins?

Mr. Abhijit Akella -

Kotak Securities They seem to have expanded significantly last year.

Mr. Simon Britsch Normally, the expansion in gross margin is due to the fact that we increased the Corn business. Right but you would also see that, what I mentioned earlier on, due to the supply challenges with Ukraine war and also therefore higher COGS. Europe imports, so that also had more, let's say, headwind on the gross margin. Plus, what we see now, Roundup price development then also has normally an impact on the gross margins.

Mr. Abhijit Akella -

Kotak Securities Thank you.

Mr. Simon Britsch But main factor, again, if we grow corn, we grow gross margins

Mr. Prashant Biyani

– Elara Capital: Sir, we are seeing a lot of changes in middle layer personnel within your company, driven by your parents' norm of removing the middle layer management or doing some changes there. So will it lead to some rationalization of employee cost for a sustained period rather than a quarter or two?

Mr. Simon -

Thorsten Wiebusch Prashant, I think, again, we have a couple of effects here in India, which you shouldn't underestimate, right? We had a merger just four years back, which put us into a pretty, let's say, significant synergy cycle. And as Simon was saying, we have been very cognizant of managing our operational expenses to where we find them to be right for the business. Were we to see significant, if

I may call them so, savings coming from individual positions going out or layers going out, I would see us reinvesting a lot of that on the ground. You saw my slide. The idea is to reallocate to the ground, right? If we see an opportunity, obviously, we will use it. But it is not our primary focus now to drive operational expenses down. There was a very interesting question coming from a shareholder today who was accusing us of having, with \$600 million, I think he said, right, turnover, much too low turnover for this type of country. I fundamentally agree. This is not a business where we win via cost cutting. This is a business where we win via getting onto more acres. So that's where my focus would lie. Getting potentially a little bit more money out of the head office into the field is probably going to pay in the long run. So that's how I would go about it.

Mr. Prashant Biyani

– Elara Capital Sir, even we would want that, that the growth is more on top line rather than focus on cost cutting, and you are doing some deep-rooted work. But the top line growth seems very difficult to come through, especially outperformance vis-a-vis peers.

Mr. Simon -

Thorsten Wiebusch Yeah. Again, I mean, I can also only develop the top line if the market is absorbing it, right? I want to be very, very careful here. If you want to see a spike at the end of the quarter, given the channel I have, I can always give you a spike at the end of the quarter. That's not the business I'm in, right? And most of you are pretty well aware, and I think we saw a figure here in terms of how over the last couple of years our CAGR has looked on top line. It's a little bit lower than where I'd like it to be, but I tell you what, if I had a CAGR of 20% for one and a half years, then that would probably not reflect what is happening in the market. Now, does it mean that if I have a hybrid which is going to be super, super competitive in Bihar, that that might give me a boost of that type in corn seeds? Yes. Could it be that if we see some old chemistry moving out, which then migrates into an insecticide of mine, that I see such boosts on this insecticide? Yes. I think it's fair to say that the Indian market, a gri-input market, is consistently growing above world market, but we're not at an inflection point where you would be seeing us doubling the usage just in a couple of quarters. That also wouldn't be good for the country. Let's be clear, there is a certain degree of capacity for upskilling in this country. There are 150 million farmers that need to move forward. Regulatory changes might lead to that, but fundamentally, I think it's very, very important to realize that we're moving on a very healthy curve upward, and I would like to be on that curve hovering a little bit with my own competitiveness, at times above, at times maybe for good reasons also slightly below. That's a bit where we stand. This is not an erratic business. It shouldn't be. It can be if the weather conditions completely blow you out. But if you look at what the weather conditions were last year and you look at how our business developed, then you're going to be finding that we were very, very vigilant. We don't do 20% down, 20% up, if we can avoid it.

Mr. Jigar Walia -

Participant Hi, this is Jigar Walia. Thanks for the opportunity. My question pertains to FPOs. If you can elaborate a little bit more in terms of what all the FPOs would do and you expect? And of the 650,000 farmers, how much can potentially be mapped to FPOs versus what they're right now?

Mr. Simon -

Thorsten Wiebusch You know, I think we're back at a couple of topics which, when we don't understand agriculture, we often forget, right? Let me share two or three things or try to share two or three things, right? I already mentioned 150 million farmers. Yeah? I also mentioned further atomization of land ownership. Yeah? You all know it from your own families what happens?

You've got two kids. Yeah? One acre is half acre each. This will continue. This is culturally in the country. But what many of us do not realize is that more than 80% of the children of farmers are not just finished with school but are approaching high school or are above high school level. They do not want to go into farming. Many of our farmers are approaching an age where acting on the field themselves is no longer an option. The first step that we've seen, is former labourers taking over the fields and consolidating by renting from several of those farmers. That's a trend which probably started 5- 6 years ago in a mentionable manner.

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Now, FPOs is that next step, and FPOs are very dependent on market linkage. And that's one point. The moment you start consolidating, you start producing larger batches. Now, we have certain parts of the country where mandis, etc., are very prone to dealing with larger batches, even if they come with one, whatever it is, bullock cart after the other. Other parts of the country are not there yet. And that is where an FPO needs to have potentially an off-taker which can also help with the infrastructure to almost act like a big mandi somewhere. And that is where it takes a bit of time. Other things is about professionalism of FPOs being able to do basic stuff like accounting, but we are seeing it happen more and more. And as I say, it's no longer just the two that everybody knows, it is happening around the country. So, were we to sit here five years down the road, given the speed at how it can happen in this country, I wouldn't be surprised if we would be saying that a significant part of cropping

actually is dealt through FPOs into more professional supply chains and food value chains. It's happening in India as we speak. Is this the only route? I cannot tell you. But at this point, that's the one which is supported by the government and where there is enough, let's say, idea and infrastructure around it. I personally think it's worth betting on.

Mr. Jigar Walia –

Participant Got it. And this would help you with the smallholder implementation and the plans?

Mr. Simon -

Thorsten Wiebusch Excuse me, I didn't get that.

Mr. Jigar Walia –

Participant The FPOs would help you significantly with the smallholders' strategy?

Mr. Simon -

Thorsten Wiebusch Well, I mean, first of all, I think we have, let's say, grown out of differentiating between smallholder and not -smallholder, right? In fact, given the land ownership in the country, most farmers are, in essence, smallholders, and will, in terms of the ownership, continue to be smallholders. But it doesn't mean that we're looking at a huge part of the country doing subsistence farming in five years. You go even into areas in Jharkhand, and you're going to be finding that rice farmers do not eat their own rice; buy their rice in a shop, yeah?

Now that is a significant change, and this is where in the past you would have heard us talking about smallholders very often in connect with a bit more backward farming. Today where I sit, I need to recognize this is a country of smallholders, in one way or another, holders, holdings, but it doesn't mean that we're backward farmers, that we're subsistence farmers, that we are not seeing consolidation coming in. And I would like to be a catalyst that allows smallholders to be part of larger farming entities which in essence is connecting them to FPOs, helping them get connect to the food chain, food value chain, and with that, basically help them uplift their earnings opportunities. So that's a little bit where I would be sitting with this, if that helps.

Mr. Jigar Walia –

Participant Last question, if you can help with your perspective with regards to the input prices, and is there volatility or is it stable for you?

Mr. Simon -

Thorsten Wiebusch Sorry, you need to speak up a little bit. Somehow the audio is not good.

ood.

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Mr. Jigar Walia –

Participant: My bad, sorry. So, my question pertains to your perspective with regards to the input price, the raw material input price, the technical price. Do you see kind of a stability or do you still kind of see a volatility situation?

Mr. Simon -

Thorsten Wiebusch It's a very dynamic situation. I mean, as Simon was alluding to it, a company like ours which has part of the supply chain backward integrated in European production plants, has a certain issue on input costs, especially when you compete with people which are currently buying from a overcapacity China supplier, right? Now it doesn't mean that we sit here in India and are completely, let's say ignorant of it; we're very cognizant of it. And that means one needs to look at the whole supply chain developments, right? Is the European Union in the next couple of years, going to be a supplier of highly active pesticides? I don't believe so. So, is the whole supply chain changing? Yes. Is it to a certain degree that we're, if anything, coming a little bit more to a n equal playing field also, right? So yes, I see opportunities for us to optimize our supply chain. Would that potentially be a bit more competitive on the cost of goods side? Yeah. But quite honestly, where I stand in terms of how I try to do my business, I want to be competitive with farmers that they choose me, right? And that's why I was saying, I need to look at more how can I participate in the value I create in the food chain, versus just looking at what is the margins I have in an asset that I sell. So, it's a bit more complex than that, but thank you.

Mr. Jigar Walia –

Participant Thank you so much.

Mr. Aakash Gopani

– Investec Yeah, hi, Aakash here from Investec, thank you for the opportunity. I just want to understand your new product launches' pipeline, how much are we focused on that? And, if can overlay how the farmer is thinking about it? In terms of are they open to experimenting with new products, or are they going with legacy products in such an environment?

Mr. Simon -

Thorsten Wiebusch Yeah, I mean, first of all, we are constantly churning out new products, and I don't remember how much were on the slide three or four. What I must say in all fairness is, it is not that we're currently in a position to launch something which, I would call, is a blockbuster overnight, right? When you look at Council Activ, Council Activ for me is still a new product, if you like, though I launched it probably 7-8 years ago, because only now am I starting to be on so many acres that I find it to be a significant product for me. I think it's number 5 or so in my ranking, yeah? So, is this a weakness of our organization is something? We debate, right? Sometimes we ask ourselves, do we take too long to become peak? At the same time, when I celebrate 50 years of Roundup, and I have the highest volumes of Roundup ever sold, there is a risk also to talk something down just because it is not a new launch. So, I think for us, it's very, very important to look at the longevity of an asset and how to drive it.

Do farmers happily buy new products? Yes, they do, if they offer value. And that is where sometimes some of what has been happening in the past, wasn't convincing enough. And we must say that the competition is tough. There are very good Indian companies that put good products out that are good at branding, that are good also in farmer interaction; it keeps

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us on our toes. It's no longer that I come with a new chemistry and everybody moves there and then goes. I mean, you've seen some companies do that a couple of years ago with diamides, fantastic! But if that's a one-hit wonder, it's not going to give you 160 years of being successful. So, it is a little bit of a mix.

I would like to see us to be a bit quicker at scaling up, and we're doing this specifically with seeds. With seeds, the replacement rat

es are much

more important. Farmers want to see something new come through every couple of years. So, the investment in breeding and ensuring that that pipeline is fresher, is the one that I have more focus on, than being proud to tell you, oh, you know, this whatever Active is just three years old and is newly launched. But hey, when it becomes big and when it is really there, I'm going to make sure you know about it.

Mr. Aakash Gopani

– Investec Second one is, in the end market, are we still seeing some pricing pressure, or has it largely bottomed out? And you mentioned about channel inventory for us being largely normal. How is it versus peers right now in the market?

Mr. Simon -

Thorsten Wiebusch Yeah, I think the big... Yeah, the tail wagging the dog is always glyphosate in our case, right? And that's something where if you really see pricing making a big difference as to our bottom line, as to potentially also turnover, then glyphosate is the one to watch. And to answer your question on that one, if that was going there, I think we are on a reasonable level at this point. We were very high a year or two back. We've really gone down, probably starting in the season. Now we seem to hover somewhere, where I would say that that's probably somewhat acceptable. And I would almost say the market would have been able to take up a little bit more glyphosate than was even available right now. So that's clearly also where the market is moving... again herbicide topic labour shortage... is moving to more usage. But that usually is also quickly then supplied. So, at this point, I'm somewhat comfortable where the glyphosate pricing lies, and I don't expect it to move the business very much. Where last year, and this is a bit what Simon was saying about also the margin development, we needed to compensate a bit our significant disadvantage on cost of goods with calling the year as price and is less volume. This year is definitely not there. So, we are at this point not in a position to push prices too much, also because obviously the Chinese

competition is where it is. And I'd rather want to see it being a volume year, but it needs to be taken up by the market. And right now we're in the middle of Kharif. This is the time where we're going to be seeing whether the market really takes up those volumes.

Mr. Aakash Gopani

– Investec And in terms of channel inventory, where will the competition be? Is it still high for competition?

Mr. Simon -

Thorsten Wiebusch I mean, I'm the last one to be able to judge on individual competition. I think if you were to look how P&Ls of some of the competitors were moving, especially towards the last quarter, so Q4, financial Q4 closing, I think a lot of people realized with the poor market conditions, we need to start cleaning up. And I think I've seen this also. Some people mentioned in their earnings calls actually finding terminology like liquidation and placement closer to market, which is what we've been

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speaking about the last couple of years. Turning up in other earnings calls gives me an indication that the competition is starting to realize that that is important to do. So, I think the acknowledgement and the understanding that you cannot permanently carry two high channel inventories is definitely there.

Now, back to Prashant's question, it took me five years. I haven't seen anybody do zero business in the last couple of quarters, so I would assume they are cycling through something which I hopefully have behind me.

Ms. Bharati Shetty We have time for last few questions, please.

Mr. Kumar Saumya

– Ambit Capital One question from myself. Hi, this is Kumar Saumya from Ambit Capital.

So, I wanted to hear your reading on the global market currently. How do you see the things panning on a global front? Because our parents have indicated that they expect some recovery this year. So, if you could share some of your thoughts on this.

oughts on this.

Mr. Simon -

Thorsten Wiebusch Global market? Oh, India is so big. My focus is India. Yeah, I mean, the global market, you heard it, the parent came out with the first half year (their calendar year is financial year) slightly below what the market would have been expecting. So, the global agricultural market is not as strong as we would have generally expected. And you see this through. Bayer actually, from a global perspective, performed better than most of the competitors. And I think you've seen it also with the export figures of some of our Indian friends. It's still not buoyant. Definitely not. Definitely not. So I do hope that the Latin America season, which I think everybody from a global perspective is looking at right now, will lend itself to making this look better.

Mr. Himanshu

Binani – Anand

Rathi Hi. Himanshu Binani from Anand Rathi, this side. So I have a couple of questions. Number one is on glyphosate. So, what has been the contribution of glyphosate to the overall revenue pie for this quarter? And how do we see the volumes going ahead? Because what I understand is that last year we had some sort of supply -led constraints in glyphosate, which in turn impacted our volumes, despite the demand being pretty decent. So how should one look into the volumes of glyphosate going forward?

Mr. Simon -

Thorsten Wiebusch Yeah, I think the breakup, as Simon said, we don't usually do. It's one of our top 5 products. You can get yourself a sense of it, right? Glyphosate is important. I think it's fair to say we will have the highest volume year ever. So, the supplies are better. They're not exactly 100% up to where I would like to have them. And there was a little picture, I think, with this ship. We have some issues getting containers into the country. Big, big problems. Red Sea is known. Less known Singapore port is completely overloaded. So, there is a risk of missing certain shipments for the application season. But overall, I think it's very clear, the trend towards herbicides also is going to be seen in glyphosate. And I expect this to be

the highest ever volume year with glyphosate that I would have had.

Mr. Himanshu

Binani – Anand

Rathi Got it. Second on the traded seeds. So, we have been into the business of trading the paddy hybrids. So how has been the volume for this during the first...?

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Mr. Simon -

Thorsten Wiebusch Disastrous. Again, the whole industry, and unfortunately, we produce the rice seeds in similar areas as the corn seeds, basically has been short on hybrid rice. The double whammy with hybrid rice is what I was mentioning, the readiness of farmers to do the work. It's very tedious. So we have a supply chain challenge on hybrid rice, which is something we're working on very, very vigilantly. So, it's been down in terms of volume.

Mr. Himanshu

Binani – Anand

Rathi But then, sir, when I actually look into the numbers a few years back, so we have been doing a very decent sort of revenue from this, and this has been continuously on the declining trend. So any reason basically for this, or is it like the corn hybrids are getting a better traction, hence we have been focusing more on the corn hybrids than that of the traded seeds?

Mr. Simon -

Thorsten Wiebusch Yeah, I mean, now you're coming to, let's say, internal discussions. Is there too much focus on corn, too little on rice? I mean, one thing is clear. As I said, corn is really picking up in the overall mix of crops in the country, and I believe will continue to. Hybrid rice has been hovering at a similar acre share for probably the last 15 years. Please don't quote me, but that's my gut feel, right? We have not even come to 10% adoption of hybrid rice, which has been the challenge, in the end, for the whole of the industry. Somebody might have a hybrid that works a little bit better, and then you get better adoption. But usually, this has been a challenge. And w

hat we've also been seeing with farmers moving more towards, what we call, research varieties or certified seeds, they're actually getting better yields than they used to in the past from the farm-safe seeds, which has reduced the obvious advantage of hybrid rice versus using mild varieties, right? So, there is a couple of headwinds.

Now, if you go back to what I showed you in terms of direct seeding, this is where I see huge opportunities. The other one is that all of us are much more focused on ensuring that the hybrid rice we produce actually also meets the palate. I haven't counted how many are in this room, but I would say every fourth of you prefers a different rice. And that's a challenge which you don't have with corn. Sorry to say, the chicken will eat the corn, it doesn't matter, right? But with humans, and especially Indians, and your preferences for specific rice, we have not been the best in the whole hybrid rice breeding to really meet that palate. This is all improving. So, we're getting better seeds that work in the dry conditions for direct seeded, we're getting better seeds that fit also the palate, and we're getting seeds that also have more intrinsic traits, so be it against insects or be it also against fungal diseases, which make it better for farmers to grow. So fundamentally, in the long run, I'm still convinced hybrid rice is a good business and will actually become more important and grow. You look at countries like China, where 75% hybridization rate, 30% about in Philippines. So, there is opportunities, but it's going to be a little bit of a long run still.

Mr. Himanshu

Binani – Anand

Rathi Got it. And so, the last...

Ms. Bharati Shetty This would be the last question, please, we are running out of time.

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Mr. Himanshu

Binani – Anand

Rathi So, the last question is largely on the corn hybrids now. So, what has exactly changed in the last two quarters, maybe I would say, in terms of the supply side, as well as the increase in the cost of the seed business?

Number one. Secondly, Q1 typically happens to be the heaviest for the seed companies or the seeds business basically. So, how do we see the balance nine months for the corn hybrid business? And if I'm not wrong, you have alluded for a better traction for the second half from the corn business .

Mr. Simon -

Thorsten Wiebusch I didn't get you acoustically completely, but I'll try. What you're saying is, how is the second half going to be with the corn hybrids?

Mr. Himanshu

Binani – Anand

Rathi The nine months, the balance nine months.

Mr. Simon -

Thorsten Wiebusch The next nine months, so financial... Yeah. I mean, we need to cycle through the Kharif with being a little bit short on the supply and we're trying in the wet season to do production, which usually is expensive, but at least I have seeds available then. We sold out spring, so I'm going to be super dependent on whether I can produce now, to be better in the next spring. And in the, let's say, Rabi season, I'm going to be struggling still a bit. So I think, in many ways on the corn seed side, I have a little bit of a headwind, which I need to work through with the production side.

Still positive, but it's going to be a bit tough, as I say, even the availability of parent seed. So, we are constrained on the supply side with corn seeds.

Mr. Himanshu

Binani – Anand

Rathi Got it, sir. Thank you.

Ms. Bharati Shetty Thank you. With that, ladies and gentlemen, I would like to express my appreciation to every one of you for joining us today. We remain committed to providing you with the information and resources needed to make informed choices. On behalf of the entire company, I extend my best wishes for your well-being and success. Independence Day wishes to all of you. And with this, we conclude the Investor Meet 2024. Thank you once again. Please do join us for hi-tea. Thank you.

END OF TRANSCRIPT

Call: Nov 2025

RESTRICTED November 28 , 2025

To,
The General Manager ,
Department of Corporate Services ,
BSE Limited ,
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai – 400 001.

COMPANY CODE : BAYERCROP
SCRIP CODE : 506285

Dear Sir/Madam,
Subject: Transcript of Investor Meet held on November 25, 2025
In furtherance to our letters dated November 18, 2025 and November 25, 2025, pursuant to Regulation 30 read with Part A of Para A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investor Meet held on November 25, 2025, has been uploaded on the website of the Company at www.bayer.in and is also being submitted to the Stock Exchange for dissemination and records.
Thanking you.
Yours faithfully,
for Bayer CropScience Limited

Bharati Shetty
Company Secretary and Compliance Officer
(Membership No.: ACS 24199)

Encl: As above

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Transcript of the Investor Meet of Bayer CropScience Limited held on Tuesday, November 25, 2025

Commencement Time: 04:30 pm IST
End Time: 05:45 pm IST

Management Participants:
Mr. Simon -Thorsten Wiebusch - Vice Chairman & Managing Director and Chief Executive Officer (MD & CEO)
Mr. Vinit Jindal - Executive Director (ED) & Chief Financial Officer (CFO)

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:
– At Bayer CropScience we believe that innovation and sustainability are not just goals, they are the

foundation of our future.

– Good evening and Namaste. A very warm welcome to all of you to the Investor Meet 2025 of Bayer CropScience Limited. It is truly a pleasure to meet you all in person. My name is Sunil Narwani and I am heading the Investor Relations function at Bayer CropScience Limited.

– Before we begin, please note that this session is being recorded and the recording will be available on the Company's website. The presentation for today's meet has already been uploaded on our Company website, as well as on the BSE portal for your reference. To ensure a smooth experience, please keep your mobile phone on silent mode.

– It's my pleasure to introduce the Bayer Management team seated on the dais. Mr. Simon Thorsten Weibusch - Vice Chairman, Managing Director and Chief Executive Officer. Mr. Vinit Jindal - Executive Director and Chief Financial Officer.

– Today's session is designed to give you a comprehensive overview of operations, financial performance and the strategic growth drivers for future. The sequence of the program will be a presentation by the management team followed by a Question & Answer session. We will endeavour to address as many questions as possible, except those relating to commercially sensitive matters, forward looking statements or unpublished price sensitive information. As we have received a lot of questions in advance, we have tried to capture responses to those questions in our presentation itself. However, if any questions remain unanswered due to paucity of time, please feel free to reach out to us at IR_BCSL@bayer.com. With that I invite Mr. Simon for his opening remarks.

– Mr. Simon Weibusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– All right, thank you. You may give him a hand. It's his first time, please.

– Now, Namaste. Thank you for coming. Thank you for taking the time to spend the evening with us, afternoon and evening. You will have noticed I'm here with a bit of a new team. I think Bharti has been introduced to many of you already. Bharti, maybe if you want to ju

st say hello, our company secretary;

Sunil, doing Investor Relations. And that's a little bit of feedback that we got from many of you that combining those two functions might not have always given the full service. And I appreciate that probably we're not where you want us to be yet. So we're happy to take further feedback. But as Sunil said, having some questions in advance might have helped us also to get the slides to be a bit more relevant. And then with Vinit, we have a new CFO in the Company as well, and I hope you're starting to see impact on bottom line performance with him coming to terms.

– In any case, we have our slogan up here, "Health for all, hunger for none." I've spent more than 7 years in the Country now and more than 25 years in the Company. And very often when I come across this

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slogan again, I so much have to relate it to this Country and realize how relevant it is. And if you go through some of the wording there, while we all agree that India has overcome hunger with the green revolution over the time, we are also aware that this is really a calorie topic. And you hear it more and more also in the discourse in the news, in the government deliberations, that the topic of nutrition and the nutrition's sufficiency for 1.4 billion people is really, really the driver of what we need to do as a Country to really reach also Viksit Bharat by 2047.

– And that is where sustainability comes in, where availability comes in. And broadening the basket for our, by that time actually 1.7 billion people is going to be super, super important. And that's where, making sure that we use the land that we have most efficiently, that we produce especially fruit and vegetables to the quantity, quality, but also price that much more people can afford, is going to be driving what this country is going to be about.

– What we see at this point, and I think I said it last time around already as an indication, and now we clearly have proof to it, is that corn has become the third field crop of the country and is the one that's really also driving market value at this point, right? We have a specific slide on it. There's a lot of discussions on what is driving this. One of them clearly is ethanol be cause that's what you hear everywhere. But fundamentally, and I think much more to bank on, it is the feed demand which is so important in the Country and it's linked. Broader nutrition actually also means that there is broader food basket over and above just fruit and vegetables for those people who are non-veg, and that's what you really are seeing there. But it's also in terms of the milk production. So when you look at the silage segment, for example, more and more farmers are actually moving to better quality feed, which then also meets better quality milk requirements, and that's a little bit where things are going as well, right?

– Now, we'll go a little bit more into the details of the season. We've set it up, but I think you've all picked it up. It was probably the most unpredictable season and most surprising season that I've seen in more than half a decade that I've been around. We have been talking about erratic monsoons. But I think we've never talked about a monsoon coming, exploding and not going away, right? So this is not professional terms, but it's been unbelievable as the monsoon literally came into the Rabi season, and that's probably what we are going to be talking about a little bit, yeah? But in many ways, I think that's also what we need to get used to, right? If we want to have nutritious food for 1.7 billion people, we need to be ready to realize that the old ways of looking at it; monsoon will come at the first of whatever it is June and will be gone by the end of September and will be somewhat predictable, is not the environment that we're dealing in. And that's where I think we're going to be seeing a lot of discussions arou

and how do we ensure

resilience in the Indian agricultural system. And that's again something where I would hope we are a leading Company to support the Country to go forward to.

– But let me close it up here for the time being, go a little bit more into the meet . Obviously, we would like to have you challenge us, yeah? Especially on the question and answers, be outright, be upfront. As Sunil said we might not be able to answer everything , but do believe that we're going to pick it up and we're going to find ways and means to then meet your expectations , also in terms of disclosures , and yes , with Vinit on board, a Iso in terms of bottom line delivery.

– So thank you very much for the opportunity , and let's have a great afternoon and evening together, thank you.

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– Good evening, am I clear? Perfect. Good evening, namaste from my side and a warm welcome. As Simon said, I'm Vinit . I've joined the beautiful organization a year before almost , from January , but this is my 25th year with Bayer Group of Companies . And, I'm really looking forward for the next few minutes to spend with all of you and get some insights and share some insights. Let's get the show going.

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– So I'll give you quick insights on a little bit of data which you already have. So I'll be very concise . Please bear with me so that we will have enough time for Q&A. So we'll just brush through. This is more like a quick reminder, a quick warm -up for us to get ready for Q&A as well.

– This is absolutely classic . Like Simon said, this year first half , April to September has been a tale of most distinct two quarters we have seen probably. While the 1st Quarter came with early monsoon , and we also of course benefited with early placement for Crop Protection portfolio and corn seeds sowing, the 2nd Quarter was everything which was not 1st Quarter. In the 2nd Quarter to be very honest, we were praying that the rain takes a break ; it was that relentless . And that of course , is been seen, reflected in the performance for our Company. Having said so, let's see how did it look in our numbers.

– The bottom line, if we summarize the story of first half, based on the 1st Quarter 's early onset of monsoon, which looked normal or maybe even pretty above normal, the acreages looked good. The acreages were fantastic. It helped with our corn seeds; it helped with our Crop Protection business. The commodity prices , with the exception of paddy , rice, important crop for us for a Crop Protection business, more or less remained under pressure. What did that mean for our sales?

– As the title suggests, this first half of BCSL is underpinned with a very strong , but yet resilient corn performance. We faced challenges. Our corn portfolio did extremely well in the first six months of the year, both in terms of volume as well as with price. We'll see in the numbers in the next slide what does that mean. Our top brands of Crop Protection like Dekalb, Roundup, Nativio, Laudis, Council Activ , which includes all of them, fungicides, herbicides, and insecticides, continued to progress well despite the challenging weather conditions. This is more or less the story of Quarter 1 .

– Quarter 2, we faced an extremely difficult situation which impacted our liquidation, and consequently our sales. We were extremely vigilant and careful that we do not want to leave a lot of inventory in the market , and also risk collections. And therefore, you will see the impact on our sales in the next quarter.

– The Quarter 2 also meant that with the persistent rains, we missed sprays at many of our key geographies. You've all seen this ; this is just a summary, as I said . With all those challenges which I mentioned, first half still grew 3% over last year, primarily due to corn, which grew by double digit ; grew by both volumes and sales.

– From a margin

perspective, 2024- 25 full year was probably the most challenging year we have seen, underpinned by increase in input prices for a variety of reasons. Additionally, the supply and the prices from China were such, that it limited our ability to pass any price increase in the market. So full year 20 24-25, in some sense, was a perfect storm. On one hand, we were not able to increase our prices ; something which our portfolio has enabled over the years. And on the other hand, we had the challenges of input prices going up quite significantly. You can see that impact in the last year of 2024- 25 over previous years.

– This year, we are seeing stabilization in our input prices. In the first half year, we have also seen the benefit of that in our Gross Profit or Gross Margin . We've seen more than 100 basis point expansion in our Gross Margin . And the follow -through of that is visible on the slides in the last column, where we can see the Profit Before Tax has expanded by 6% over last year. And our Profit After Tax has expanded by nearly 12.5% over last year.

– We've always ... in the last few quarters when I was here, we have always got questions from some of you to understand how our corn seeds portfolio versus our CP portfolio is doing. So this is our last five years snapshot. And you can see the colour at the bottom, which is dark blue, represents our CP portfolio, Crop Protection Portfolio. It remains our dominant portfolio. It's also this portfolio which got really impacted with high input prices last year and with very extreme weather conditions in 2nd Quarter of this year. The

corn portfolio has nearly doubled in this period. This translates into a Compounded Annual Growth Rate of about 15 to 16% versus a growth of Crop Protection shade less than 6%. Overall, during this period,

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the revenues grew by 6.5%, primarily due to the corn growth. The others here include exports and Roundup along with traded seeds.

– The impact of revenue, and especially you can see on my right side on the EPS, the impact of rising cost in the input was very visible in our Profit After Tax or Earnings Per Share. From a very steady 140 to 169

to 165 journey last year, we saw a significant correction to 126 per share. As I alluded, it was primarily because of the combination of high input prices and inability to pass prices in our agrochemical sector due to the supply and the prices from China.

– We've acknowledged that as an event which cannot remain forever, and as a Board, therefore, the dividend policy remains, or the dividend distribution remains, intact. We continue to have the same amount of dividend for this year in half year, which was Rs. 90 per share.

– So, to summarize, in the last five years we are seeing very strong growth in corn seeds, both from volume as well as price. For the future of what we are aspirational, what we are targeting, how we are targeting what we are targeting, I'm going to request Simon to share some details on strategy, and then we'll probably summarize where we are aiming at or targeting at our aspirational growth over the next few years.

– Simon, over to you.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– All right, thank you Vinit. Future Framework, big words. Many of you will have seen this, and many of you, because I assume you don't just look at BCSL but you also sometimes look at our mother company, right? And this is what Crop Science went out with, don't quote me, would have been in March this year. And why do I show it? I show it because I want to give you a little bit of a sense what India is in this context.

– India is within the top 5 or 6 countries, if you look at countries individually for Crop Science globally. In the CP business itself, it's actually a little bit higher, because you did see that the CP business for us is bigger, significantly bigger actually than the seeds business, and that's not the case

in many other countries,

especially not those which are large scale field crop countries like Brazil, Argentina or the US, which would be ahead of us, right. And when you look at such a framework where a company says, hey, we need to grow top line, but actually when you look at it, over proportionally, expand our margins and our cash delivery, then probably a large country like India cannot lag behind. And that's a little bit different than to where we stood probably in some of the discussions we would have had 2-3 years ago, where I would have told you the primary target here is reach. We need to get to more small holders, yeah? We need to get to more small holders still, and I'll come to it. We are also strategically important for the company, but we need to do it in a margin framework which makes sense for the company. And what Vinit was showing you was an impact that we clearly had in terms of our supply chains being linked to Europe and the war that broke out there, and energy costs, yeah? And that transmitted itself straight into our margin framework. But the other one is really also the competitive environment.

– In the past you would have sat here and said okay, there's a squeeze on production costs. Most of the products coming from Europe will be in the same situation. European companies are quite large in the markets; that'll have an uplift effect on prices. That's today not necessarily always the case, especially not if the overall agriculture is not picking up enough stuff from China, right? So what we need to understand is that if we want to be successful in India and deliver on margin expectations, we need to do certain things, yeah? So that's the bottom line: we need to do certain things to be able to meet a strategic target of serving more smallholders, but also ensuring that we're not dilutive to the global business, and in that sense also here.

– Now, I'd say the first two levers are really relevant for us here because what happens in 2032, we'll see in 2032, right? So in many a way, strengthening the foundation is really what we've been working on. And I

5 would argue, given our top line development, if you see what's happening on the bottom line, we were anticipating some of this, yeah? So many of you will have come back over the years and often said, hey Simon, we're actually seeing you being timid on the OPEX development, is that to stick? And I was always careful to confirm that, but it helped us here a lot.

– The other one clearly is, and that's where I'll go in a bit more, is really, that's ... let me go to another slide first because that's much more important here ... that we started prioritizing on the portfolio. Now, we really sat back and said, what do we got in terms of portfolio that is important to farmers, but that also has the margin profile to allow me immediately to have an impact on bottom line. Some of it started with divestment. As there was also some discussions last year why is Bayer divesting; that was more driven from a global perspective. But it gives me an opportunity also in India to relook at my portfolio and make sure that I focus, while trying to make up for divested products, on really expanding margins, right?

– But just going back here very, very quickly, Portfolio means prioritizing what's profitable today, where I can really drive success to farmers, but also backing on our R&D pipeline. And again, many of you will have heard me say in the past, I'm not really that interested to discuss new launches with you. That's changing a bit because we really have new launches coming in that do both, right? That do impact on the business because they're big enough to impact the business and really make a difference, but they also bring a profitability profile with it that it has bottom line impact. We are working on product supply, and product supply is not overnight changing to an Indian source, that doesn't work.

There's regulatory

reasons, there's global reasons, but we're on a path. We're on a path to say, okay, we're sourcing for Asia more in Asia, and for India obviously, that in many ways means more in India, be it from our own plants, be it also from partners we have here. And this will be trickling through the system now more and more aggressively, right? Decisions were even made in the past but you wouldn't have seen them, and it doesn't make sense to

talk about things that don't start having impact; we're starting to have larger compounds where actually we're backward and integrated in India, which will help us significantly.

– Go-to-markets is another aspect, right? When I take costs out of the organization, there's 2-3 ways you do it; one is obviously the synergy wave which you all saw, the other one is operational efficiency over time.

The next one, and that's what we're going into now, is very specific go to markets. And that means we're starting to analyze, on what we call FOTs which is Field Officer Territories, which in many ways means almost village level. What is the type of portfolio I'm selling there and can I afford to have the type of footprint that I usually would be putting down in that area, right?

– And often what you see is, companies like ours, we measure on what we call efficiency. Efficiency is turnover per head. Our turnover per head doesn't help me when that turnover is not profitable and the head is expensive. So we're actually looking more at margin per head, and that leads to having to look at the country in a very, very different way than in the past. So you're going to be seeing us focusing in terms of physical manpower more in areas where farmers buy more profitable products and where we have the growth opportunities. While in areas where that's not the case we're going to be relying on partners; we're going to be looking also at is there more digital ways of doing it, and where yes, in the worst of cases, we might not even be active ourselves. But at this point, again, having a strategic view of saying I want to literally service every single farmer in India, my route right now is really to look at digital ways to go forward there.

– Cash is king. This has never been a huge problem in India to be honest; we've been very, very vigilant at managing the channel. But you might remember last year, we did have some issues with receivables, and yes, we've learned our lesson. The market is not easy, especially in the cash crops this year. That's something where we are very timidly looking at it as well, and partly some of the go-to-market discussions will also be around can we safeguard cash with the measures we take, right?

– Now pipeline is clear: corn is the one for the Country which is really, really important, and we are the main breeders in the country, there's no question about it. We're seeing that a broad portfolio is allowing us to go into new geographies; there's a slide on it, I'll jump over it. And the other seed and trades is for us the

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rice business; we trade rice only. But for us rice is important because it carries a large part of our Crop Protection portfolio, and here direct seeded rice is going to be super, super key. But still core CP, and Vinit showed it, is the area for us to grow in this country.

– We need to grow our core CP portfolio, and that is really where these new products are coming in, yeah. And this is where maybe at one point I will really also be in a position to say, hey guys, we started from zero. This is where we stand, without disclosing something that gives too much information to competitors here, because this is really ... but you will be hearing of Bicota in the market, yeah. We launched at beginning of the year literally, and I mean I'm sitting here and it's actually having impact on my bottom line, yeah. Etcio S tar is something which will help us on DSR portfolio, where it really will

help farmers

to successfully have mechanized direct seeded rice in the Country, yeah. There is a lot of HT discussions as well which you're aware of; that works in certain areas. But this will be necessary also for the HT program to really work.

– So that is where the innovation aspect of the company is really starting to kick in again. I spent a couple of years having to sweat the assets, having to really also make sure that Bayer stays out there. Then we looked at our portfolio, needed to streamline, but we could also streamline because we have new things coming through, and that's where it's really important to look at that.

– Now, corn is the topic; I spoke about it, right. We, I think Vinit said it, expect to double corn still from half of where we were before. And there is a lot of discussion around oh, what's this going to do if we import corn from the US, etc., right? Honestly speaking, I'm not in a position to speculate. It's very clear

that it will have an effect on the corn landscape in India, but when you look at the underlying demand that is here, and a lot of it is localized demand, yeah, be it on the silage part specifically, which is growing, but also on the feed part. I do not expect that we're going to be having 50–80% of our corn coming from the US, yeah. But we will have a discussion on how do we grow corn in the country, how do we equip farmers to be successfully pushing up those productivity gaps that we see, because there is not more acreage. And especially when you see also with the weather conditions, there's certain areas where you don't want to grow corn when the weather gets bad and it starts tilting over, etc., right? So I am fundamentally convinced that a country where corn has not been the biggest of topics for generations, this is really where the drive is going to be, and we are, to my mind, best set to put ourselves into it here.

– There is a little bit what is going around. I mean, it's more than one obviously. But commercial excellence, making sure that we accelerate portfolio very, very quickly, right? And you will be seeing some of the newer launches; you would have seen spring corn if somebody really follows the numbers out there. We move from a 9108 to 9208 in the fastest of times ever, right? If we're convinced in a hybrid, we go big time now, and we've gone into areas where, in the past we were very, very timid; Karnataka etc. where we're really, really taking market share. And that's where, I believe, you're going to be seeing us really excelling, and again it's going to do good to the overall P&L of the system.

– Direct seeded rice - this is a long bet, right. But when you think, when we started out with it, we were on 5,000 acres last year, approaching 20,000–25,000 this year; above 1 lakh. It is very much driven by labor shortage, but there are so many fundamental reasons from a sustainability angle to believe that direct seeding of rice is the solution for many of the problems we have in India, that I am convinced the farmer

will want it, the government will want it, and the future will want it. And this is where again, we to my mind, are the C company that has the solutions that is ready to partner who we need to partner with, we don't have the HT, for example, but we're going to be seeing the next systemic change to agriculture. First one, recently being corn, second one is really direct seeding of rice. And this will open up opportunities for more fruit and vegetables.

– Go-to-market, I spoke about it already; it's several aspects that go in. I'm happy to answer questions if there's something. But bottom line is we're going to be very deliberate at saying, yes, we want to literally service every farmer by expanding our retail landscape, but we will do it in a very selective manner, and Bayer will look different depending on farmer ecosystem, if I may say so, in the C country.

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– Better Life Farm

ming is part of this game, and we've talked about Better Life Farming a lot. This is literally where our partner-based retail ecosystem is helping us to take these type of decisions. So, where we've done the go-to-market change, which is at the East of the country, that is the area where we have most Better Life Farming centres. So what I intend to look at is, that while in many of the area I have a lot of people servicing the channel, in these areas I'd rather have partners servicing the farmer. And that's what we're betting on, it's a big bet by the way, but it has immediate positive effects on relative P&L, because there is an OPEX aspect to it, and I fundamentally believe these partners, equipped with a broader portfolio, are better partners to the farmer than I am, where I sometimes only have a limited portfolio for one season, which is not very profitable to me. So that's a little bit where you need to expect Bayer to be maybe pivoting a bit from what we did before, but it does not mean we're abandoning these areas, we're just trying to service them through partners who are better fit to do this profitably.

– With this, I'll close for the time being, ask Vinit to give it a little bit of an outlook, and then answer your questions, thank you.

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– So this is the journey which we discussed in the last 20 minutes. So let's do a very quick recap. 5 years ending 2024-25, revenue growth of 6.5%. 2024-25, I'm not sure, but the standout would be the impact on profitability. The journey from there, we saw, the focus for our entire team remains on improving profitability, and we saw some of the means, some of the key measures which will deliver the higher profitability.

– The next 5 years, you can call it 3-5 year strategic framework, our aspirational... our target is to grow by high single-digit to low double-digit in revenue, driven by both, a strong focus strategic way of doing CP portfolio backed by innovations, and a continued doubling of our corn seeds portfolio. With the growth in revenue, we expect improvement steadily in the profitability. It's at this stage, as we mentioned, dependency on margins from the prices influenced by inventory and supply situations in China. Difficult to predict. So the profitability which I'm going to share is more as a target, more as an aspiration.

– With the sales growth from a high single-digit to low double-digit, we should see an improvement of 100 basis points with that sales increase.

– That's where we would like to now invite questions. I am going to hand it over to Sunil. As Sunil mentioned in the beginning that we have a variety of questions, we've taken the liberty to combine some of them, answer some of them through the slides. However, if we've not been able to satisfactorily answer all your questions, we would be here or you can reach out to us later for some questions. Thank you so much. At this stage, over to Sunil.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Thank you, Simon and Vinit, for sharing your perspective on the C company's operations, performance and strategic priorities going forward.

– As Vinit said, we now open the floor for question and answer. If you have any question, I request you to please raise your hand. A mic will come to you. You can announce your name and question. And for better inclusion of all the questions, I request you to keep it short and maybe one or two questions. In between, I will take some of the questions which we have received in advance and try to answer them.

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Q&A Session:

– Mr. Prashant – Elara Securities:

– Sir, this is Prashant from Elara Securities.

– Vinit sir, the margin guidance that you have given of 100 bps, what is the base year for it and is it 100 bps every year improvement or any particular point-to-point?

– Mr. Vinit Jin

dal – ED & CFO, Bayer CropScience Limited:

– Thanks, Prashant.

– The base year would be '24-25.

– Can you hear me? Is the mic working? Yeah, thanks.

– So, the base year is '24-25.

– Mr. Prashant – Elara Securities:

– And it is improvement every year 100 bps or?

- Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:
- At least we are very confident to start with, the first two to three years we should be able to see this. As I said, a lot depends on the margins. Simon also alluded to the fact that there are wheels in motion where we want to further improve that with sourcing strategies. So, one or two years we have high level of visibility, we have relatively we have noted down to the lowest details. The last outer two to three years would depend on what goes into the first three years.
- Simon, do you want to add anything on this?
- Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:
- Yeah, I mean, margins don't grow into the sky, they are a bit like trees. So, I think to be fair, it will start tapering off. The bigger steps are to be taken now. And then, yes, the more we are able, and Vinit gave the time frame, two to three years to also change supply.
- We can have always two options, right, or three literally. One is we take whatever advantage in the cost of goods we get, provided external prices are the same, put them into bottom line.
- The other is to drive growth, right. And I probably want to then pitch a little bit for the higher guidance, which is the double -digit top -line guidance, if I have more room in the cost of goods as well, right. So it is, in the end, in a country like India , growth is important.
- I can only take so much OPEX out, and OPEX will inflate over time, and that means I need to have top -line growth, because otherwise I get what happened with the P&L which makes it shorter, right. So, take it as that. We've hit rock bottom in terms of margins. It is a clear focus to pull it up. You've got a guidance now, but do not expect that at one point we're at 50% EBIT margin. That's not going to happen in this type of business, and all of you know that.

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- Mr. Prashant – Elara Securities:
- And, Simon, in earlier interactions, you have mentioned we may look for in licensing of molecules with Japanese players, be it from India perspective or globally. Any work on that front?
- Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:
- Prashant, it's really a margin lens that I need to put on, and experience shows that much of the third -party licensing from abroad, especially if they don't have a local production here, it doesn't make that much sense to me. What we do is we have a lot of global arrangements where we will, if anything, start as a proprietary molecule and a mixture to come in. But we are developing mixtures with local companies here which might have Japanese backgrounds as well, and that's where we're going to be focusing on when it makes sense from a larger perspective, and that's what we go into.
- Mr. Arjun – Kotak Mutual Funds:
- Hi. This is Arjun from Kotak Mutual Funds.
- Simon, aren't we kind of lowballing in terms of margins? If I look at FY24- 25, we were at about 12.5%. If I look at FY 23-24, essentially, we were close to 18- 19%. So effectively, on a five -year period with a sharp top-line growth, we are essentially saying we would be sub those margins, what we already delivered in the past. So, what are we missing here?
- Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:
- I mean, one thing which is not spoken about is obviously, especially in the time frame that you are mentioning, is a significant global shortage of glyphosate, right. And you saw the other segment on that slide, assume a lot of that is glyphosate. Now, glyphosate margins usually are rock -bottom. That time we shot up, yeah. So yes, if you now get

a glyphosate glut and I got a super -pricing opportunity, that will be lowballing . What I'm trying to do here, or what Vinit is trying to do here, is give you something which you can hedge against, expect that to be baseline, yes. Obviously, if things go very different, you'll see differences. But I don't want to sit here and hope that a glyphosate spike will give us an upside.

- Mr. Arjun – Kotak Mutual Funds:
- Just to understand, and thank you for the break -up in terms of corn seed, because earlier it was just speculated about, now we do have a sense of growth. Could you talk about these three elements which you gave us in terms of the pie division in terms of margins, which would be higher/lower going forward. We are anticipating doubling of the corn seed portfolio. So how does that play out in terms of margins improving or getting impacted going forward? One would assume seeds would be a higher margin business.
- Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:
- Yeah, I mean, first of all, the advantage with corn seeds is I'm literally 100% backward integrated except maybe some licensing costs or so that will be there. So yes, very clearly the corn seed portfolio is more profitable. You always need to see how mathematics works though, right. Doubling of corn seeds still means it is then, I don't know, with a good growth of Crop Protection portfolio - 20-25%, yes, it helps, but it doesn't solve the basic topic. So whatever corn does, it helps, and it does improve margins. That's back to your where's your baseline.
- If I come back next year and tell you corn seeds has doubled, yes, it's going to have a margin effect. Over a five -year period, it helps, but it doesn't change the overall view completely.

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– Just to add, it's important to understand that the incremental cost of production when we are trying to meet the demands of the, in this case if I may take the liberty of saying nation, because we see that the corn seeds are important in the plans of growth of the nation, right. So, in order to do the incremental corn production after a certain time, because remember this is grown in. It is influenced by the same weather conditions as our in- sales are, right. So therefore, the incremental cost of production of corn also goes up significantly higher. Something which is not comparable directly with this chemicals business, because there the incremental cost depends on the capacities, and at this stage we don't see capacity limitation, right? Whereas with corn, the incremental cost will grow also faster. So, the margins don't sustain beyond a certain level.

– Mr. Arjun – Kotak Mutual Funds:

– Sure. Just one final question, if I may. In terms of generic competition, so obviously that continues to grow in India, how would you characterize Bayer's defensive moat beyond the brand equity that we have built for the underperforming product lines, and you also talked about probably underperforming markets for us in terms of margins. So, how do you measure success for these decisions about exiting certain products, and in terms of certain markets you hinted that probably you'd look at a new go- to-market. We have seen a cycle of bad debts in the previous cycle. So how do you see that go about?

– I know these are a couple of questions, but given that this was the last question, I thought I'd roll them in together. Thank you.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, I mean it's rather comprehensive, and there's a lot of things which come together. It's very much linked also to what I said to the go- to-market and the complexity with it, right. I mean yes, brand equity is something that Bayer has, but we have a lot of also domain equity, right.

– If you go through Delhi circles, you speak with regulators, etc., Bayer has a huge recognition, right. And that is something which we will sustain by also ensuring that our portfolio leads sustainably, right. And that's the argumentation, for example, when you look at DS R.

– The other thing is when I do portfolio optimization, I obviously try to migrate to something which has a better competitive position, and part of the story is the new compounds, right. The beauty of a sales team is they don't usually like to be idle. So, when I take a product away or I divest it, they cry like crazy. Their life is over, but you know what - when I come with something which halfway fits that geographic area, it might not be exactly the same farmer or so, they're going to go after it, and that's what we're seeing right now, big launches. Being very, very clear about our agronomic positioning and doing a launch big, as I said with BICOTA, for example, that's where we can really come back into segments where maybe we've lost it, right. But we're also looking at things which personally I'm not 100% convinced in yet, but which could be good, like soybean herbicides, right. So, segments where we're absolutely not in right now, but where we have a line of sight that will have a portfolio which will allow us also to compete.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Okay. Just to do justice to the online advance questions, we'll take a few of them, again, come back to the live questions.

– So, the next question is for Vinit from Darshita Shah. What is the revenue contribution from product launched over the past three years? Has this contribution increased during the last three years, and do any of these new products rank among our top ten products?

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– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– So, thanks, Darshita. Let me answer the third question, it's easy, yes. Council Activ which was launched in FY 2022- 23, probably now is in our top two, if not in top three products, right, maybe in top two.

– Almost one -sixth of our last year's sales from CP would be from these products which were launched in the last three years.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– The next question, again, for Vinit, in first half of FY26, did we take any price hikes in Dekalb products, and if yes, then how much?

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– That's again an easy one, Thank you Sunil, for giving me an easy one.

– Yes, we did take a price increase, I mentioned it already, that we had a nearly double -digit increase for sales and for corn driven by both price and volume. We had macroeconomic factors favorable, as well as, as Simon explained, a strong execution efficiency getting the new hybrid, which is really important in this business, but the main reasons for us being able to take price hike.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Okay, Simon, the next one is for you, and a favorite question of lots of investors.

– New product pipeline. Kindly provide details on new product launches expected over the next couple of years. Specifically, would like to understand the flow of proprietary products from the parent that have been introduced in India in the last few years, and whether any additional launches are planned in the next year. This is from B & K Securities, Rohit Nagaraj.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yes, I mean, I had it on the slide, so I'm not going to repeat it, but things that really excite us right now is BICOTA and Camalus.

– We have actually also in the longer pipeline two very new compounds, Xivana Smart coming in, which we expect in the fruit

and vegetable segment really to be very, very competitive in the country. And we're also launching what is called a global blockbuster, Plenexos, in the next couple of years, which is an insecticide,

a completely new one, which in a country like India, which probably is the second biggest insecticide market in the world, is going to be important. It's going to be very important.

– This is where we're in the preparation phase, and again, I don't want to be sitting here and telling you something in four years, but it is not just these seven or eight products that were behind me, which are literally hitting the ground now, and some of them we're really excited already. I think Xivana might be coming beginning of next year, depending a little bit on whether the, what is it, CBIRC, or I always forget what they're exactly called, comes through with MRLs before the season, right. But that's definitely online, and as I say, this is really something where we are seeing innovation, and I cannot quote the number of new hybrids which are also coming through. The big one we're all waiting for is Bihar, that's clearly understood, although even there we're seeing a reasonably good development right now during the season.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Thanks, Simon. One last question for Simon before we again go back to the live questions.

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– Global Bayer leadership has been active in reducing management layers and redesigning the organization. What changes have been noticed in BCSL, and what more can be expected in future?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, I think it was in another one of the questions also regarding the one-time costs. We've reduced, on the basis of this program, dynamic shared ownership from literally 24 months ago, where really the impact was last year, with also quite significant one-time costs being booked. This year, the go-to-market change in the East is somewhat related, but wasn't driven by this drive, right. So, the DSO drive, taking out layers, we've reduced management levels within the organization. It's really something we were early on, we did it last year, that's under the belt, and you can see it in the OPEX development already.

– The go-to-market change in the East this year, which again, I say is big, actually the one-time costs you don't even see in comparison, because we took the big ones last year, right. There was some involved, but that's not any longer the target.

– Do I look at efficiencies when they come through the system? Are we still looking at, are we optimized go-to-market everywhere? May I also invest a little bit in certain areas again? Definitely. But it's more portfolio management than radical changes.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– The question was from Saurabh Jain from HSBC Security.

– Now over to you.

– Mr. Ahmed Madha – Unifi Capital:

– This is Ahmed from Unifi Capital.

– So, the question was regarding, you spoke about in India for India, right. So, considering significant sourcing of assets from the parent entity, we obviously have a structural higher cost. And so, in this sort of a scenario, are we effectively paying a global sourcing premium compared to our competitors which rely on Indian and Chinese supply chain? How are we thinking about considering the entire supply chain architecture and sort of making sure that we don't have a cost competitiveness issue?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– It's a moving target, yeah. Very clearly, the industry is changing a bit. In the past, the proprietor, if I may say so, so the person that invented the compound, usually had such benefits of scale that they were able to compete also in an off-patent environment. And it didn't matter whether you were in a high-personnel cost environment, which probably most of these people were because of automation. But when now we have a situation where extremely high energy costs and extremely high environmental costs due to

regulation come in, these large do-it-for-everybody plants probably not competitive to more nimble plants, right. And that's an interesting thing if you look at it. If you look what China has done, China has very much replicated what we have done in the past. Very big plants, one line, we blow the stuff out cheap.

– Interestingly enough, the Indian plants are much more flexible. They can move from one compound to the other. They can be switched over reasonably quickly, and they can make smaller batches. That's what's interesting in an environment where I cannot any longer register one compound in a large country and expect it to be registered around the world. It doesn't work like that anymore, right.

– So, one thing is, yes, while still hanging on to certain big compounds coming from big plants in my legacy organization, I might have a cost disadvantage which I need to cycle through. But I think coming into a more nimble environment that we're looking at now, getting the opportunity also to switch my source,

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and again, here, CBIR ... CBIRC, I don't get it to my head, I'm sorry, I'm not good with five-letter words. CBIRC, yeah, needs to help me as well, which means I need to do a source change, etc, and that just takes time.

– Mr. Ahmed Madha – Unifi Capital:

– Follow-up will be what sort of steps we have already taken to improve on that in the last year or so?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Look, we're not blind, right. So, this is a multi-year process. But there are certain aspects which play in. Bayer has registered quality standards which not always are met by some of our suppliers. So, we need to

work with our suppliers to hit those quality standards. They're not necessary for regulatory approval, but they're necessary for our internal quality standards.

– When we say a formulation needs to whatever have stability, right, so there is more work than just calling somebody up and saying, hey, please can you supply me XYZ? And that is why the whole thing takes place, because I'm not going to do it compromising my quality, because we're back at, hey, if I'm Bayer, I have sustainability standards, I have expectations from customers. I don't want to deal with more complaints, because I've taken a decision which wasn't thought through, right. Sorry to say, yes, we're a bit slower, but hey, be sure that where in the past we put a sticker on "Made in Germany" for a reason, I will be proud to also put a sticker on "Made in India", not just to make people happy, but to say this is Indian quality which I can also export, and they're in the little special column that you saw.

– Obviously, it's also exports, which you could see from the publication pages, and that is something where the better I get here, maybe an opportunity lies also to support the rest of Asia.

– Mr. Ahmed Madha – Unifi Capital:

– Sure, got it.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– For the benefit of all, I request some other questions from other participants.

– Yeah, over to you first, and then you.

– Participant:

– Hi, clarification on the margin side. If we take last year FY25 EBITDA margin, adjusting your one -off cost, you had around 15% of EBITDA margin because you had some one -off cost, and in 1H26 also you have clocked around 16% margin.

– Instead of giving guidance of 100 bps, can you tell us that, because there is some confusion on the base side as well. Give us the absolute number, what normalized margin was for you in FY25, adjusting those one-off, and what margin one should expect in next 1-2 years?

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– I'm sure you'll appreciate, I can't give the absolute number.

– Participant:

– Give us at least the base adjusted margin, normalized margin, what was it in FY25?

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– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

ted:

– Given that our seasonal nature, and we just actually spent a lot of time in it, and you all know that, right, it's very difficult to tell what is normalized margin. A lot of it goes into the nature of our business, you'll appreciate, is that we invest first. The costs are a little bit ahead in terms of our marketing campaigns and sales expenditure. So, sometimes in a short span of six months, it's difficult.

– Your question if you're asking, is that what do we expect in the next six months or over the next years compared to one -time cost, right. One thing is for sure, what we refer to as one -time cost, or what you

are referring to as one -time cost, is probably about the new operating model and the severance cost, which Simon alluded to, right. He also clarified that most of it is behind us, yeah. And then last year, FY24 -25, we had an, I may use the word unprecedented accounts receivable collection issues for a variety of reasons, right. That's not normal for our business, right. So, what we expect in going forward, that is from current year and future, both of this, if we use the word one -time, though I'm strictly speaking, receivable provision is not a one -time, right, because it's a nature of the business, right. We expect that to be significantly lower than the previous one.

– Now, how much of that will impact our margin, whether it is 0.2 or 20 basis point/40 basis point, that will depend on various other factors, including the revenue percentage increase or change over the corresponding period. So, it's very difficult to give you a number.

– Participant:

– Again, just for the clarification, if '21 to '23 were abnormal period for us and for the industry as a whole, can we take pre -pandemic margin as a base and then expect improvement on that side?

– Because until and unless we have base clarity in our heads, 100 bps guidance means I think we can't make out anything on that. So instead of, you know, give us some clarity in terms of from which base we should start thinking about that improvement.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– I mean, I'm not the CFO here, but I also don't want to split hair.

– If you go pre -pandemic, you're actually in the phase of a post -merger. With all due respect, what I would say is let us close this year and take that as something you can carry forward, right.

– We don't have a massive special effect coming in the next half year, and if that is so, we'll tell you, and that's probably a pretty good basis to see it's better than last year, I think that's what we can indicate

already. And from that basis we will be building, as Vinit said, especially if we move to the higher top -line guidance, because the top line will have an effect on whether we can push it into the bottom line, right.

And that's a non- financial answer to a very, very complicated question.

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– I appreciate, but that was an indication that with that amount of revenue growth, that's what we expected to percolate down to that. So, the maths can be worked out, but as I said, you saw what happens between quarter one and quarter two, right. So, the more we indulge into every detailing, to be very honest, the

possibility or the probability of that happening is not that high also, right. So, this is an indication that a sustained improvement in our profitability from the base year of '24 -25 is our aspiration.

– Participant:

– Just a clarification on the growth side, is that a volume growth guidance you're giving, or would that be a value growth?

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– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– That's a combo. That's a combo, yeah.

– Participant:

– Thanks.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– One more question from you, then I'll take a couple of, because we

are already running behind, we are

over time, but we'll try to answer a few critical ones.

– Mr. Abhijit – Kotak Securities:

– Sure, thank you. This is Abhijit from Kotak Securities. I'll try to keep it brief, just two from my side.

– First is, with regard to the growth guidance, so the high single digits to low double digits, does that apply for fiscal '26 as well, given we've done 3% growth in the first half. Therefore, should we expect significantly better in the second half?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– No. I don't think that that is realistic to see. I mean, even looking forward to a good Rabi, and you might remember we had a very strong Q4 last year, a very strong spring, and how much we have under the belt already, I think that would be too much to ask. So, we're going to be looking to mid -single, hopefully, towards, but we're at 3% now, if I'm not mistaken. It would really take a blowout, and I'm not in a position to promise you that blowout.

– Mr. Abhijit – Kotak Securities:

– Fair enough, appreciate that. And the other one was on the margin side, a couple of specific numbers, and then one slightly, you know, conceptual question. Last year in fiscal 25, we saw a doubling of the grower payments to seed growers. It went up from 260 crores to 530 crores or something like that. We also saw a doubling of your purchases of goods from your parent, Bayer AG, went up very sharply. What were the reasons behind this? How should we expect this to trend? And, sorry, just one addendum there. When you mentioned this 100 basis point progression over the next 2 -3 years, should we assume that you're actually talking about a progression assuming, you know, no one-off items in the base?

– In other words, the provisions for doubtful receivables, the severance payments, those are not counted in the base, and you're expecting 100 basis points of improvement on a normalized basis?

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– Thanks, yeah. We just discussed this in the last one minute, right, that few months ago, after the quarter one, even into the quarter two, we were expecting to be a low double -digit growth for this year, after clocking 17% the first quarter, right, and here we are. So, I think that's the uncertainty of what we just discussed today.

– All our projections are aspirational, and they assume normal. So, we are assuming normal what we are calling as one -time effects here. We are assuming a normal scenario, of course.

– As to your question on the margin, I think we've shared the amount of details which we have at this stage, right. It's very difficult to break it down further, but maybe I'll try later on. Right now, it's difficult. I'll have

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a discussion with you to understand a little bit detail what you're expecting. But at the moment, we were able to share the following, just to summarize.

– '24-25 was the first time we got hit with that increase in prices and inability to pass the transfer price, impacting our gross margin, right.

– And second point was that we are seeing stabilization this year.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, and to the grower payments, this is a little bit, Vinit was referring to it. There is competition on professional growers, but it gives you an indication on our margin, on our volume expectations as well.

It's a good one to read what we expect of the next season. Part of the story, though, is also we sold out completely, right. So, some of it might also go into a bit of safety stock. Given weather conditions, it's not a very comfortable thing, and we're looking at it right now again. When you have a delayed season and you come hand-to-mouth for the spring season. So, there is a bit of trying to mitigate frantic seed production close to the season. So, we will try to carry a bit more seed inventory going forward if that allows.

forward if that

allows.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Okay, I'll take a couple of online questions, since a lot of questions have been already answered in this interaction. And maybe one last question after that, before we close the session.

– I've combined questions from Ms. Arpita from Millennium MAM and Ahmed Madha from Unifi Capital

– about ... India is planning to open its market to duty -free import of U.S. corn for ethanol. And what if the GMO corn imports are allowed in India from the USA? What implications does that create for the

Company? And how do we handle the challenges?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, I think I referred to it also during the opening a little bit. I mean, first of all, it's still speculation. It's not confirmed. It will make everybody look different at corn, but we are not an efficient country. So, if we were to import everything from the U.S. to a port in Gujarat, I think we'd have an issue feeding our chicken in Karnataka, right, let alone Odisha. So, let us be clear. There is going to be local corn production in the country. The bigger question is on policy. Will such a decision lead to a policy reconsideration as to - do we allow Indian farmers access to technology? And I have my opinion where I would hope this would go, and then yes, we would be looking at a different corn scenario again. Because traits definitely will be something which changes markets, and we need to look what would it do to an Indian market, because this would be probably the largest country to latest take such a decision, and it's a very special country. 1.4 billion farmers, obviously not all of them grow corn. We don't have a lot of countries where we've seen it, but we've seen pockets. We've seen how it happened in Philippines, for example, and we can learn from that. I think in another panel, I was very clear, India is late, but we're not too late, and we can learn from other countries and try to emulate while making sure that it works for India.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– One last question from online from Naushad from Aditya Birla. While we have talked about OPEX and measures taken and one -times. But, Vinit, how much scope do we have for rationalizing other expenses?

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– Thanks, Naushad. So, I think we spoke about input cost have increased significantly. On the operating cost, there are, at least we have managed to keep it lower. The growth of operating expenses is lower than the growth of revenue. This improvement is partly driven by reduced employee cost, as you have seen,

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and when I mean employee cost, it's also inflation comparison, right, relatively, and reflecting the benefits of our new operating model. I think we already addressed that question about layers being taken out and a reasonably moderate salary cycle. So, we had to moderate our salary cycle this year as well as last year.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Okay, one last question from the live before we close the session. Okay, over here.

– Mr. Saurabh Jain – HSBC:

– Can I ask a question? I have a mic in my hand. This is Saurabh Jain from HSBC. Yeah, sorry about that.

– So, my question is, can you also talk a bit about how your supply chains of your raw material sourcing and technicals is kind of structured? Because what we understand, reading from the annual reports, you have a lot of purchases from the global parent, Bayer AG. But everything isn't getting manufactured in Europe, or there are more supply chain linkages coming to Asia, especially the entities in India and China. So, any numbers around that would also be useful to, you know, for us to make some mapping in terms of how the supply chains for you are

structured. That's my first question.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, I mean, it's in a flow, and you know what, this is very, very sensitive information. If I were to tell you each compound, and I'd get calls from five companies tomorrow, they could do it cheaper for me or so. So just take it as such, right. You're absolutely right. Right now, over -proportionally, we are linked to buying also, and this is not to be underestimated, from high currency or strong currency countries. This needs to change, and it will change over time. Not a hundred percent, never, because there is still good reasons also to produce certain things abroad, and maybe even in high energy cost Europe, right. And you will have heard that also Europe is looking at industrial support. But it is very, very clear that also when you look into the future, be it carbon pricing, etc., probably barging low -value, high -volume stuff from the US over here is not going to be a good idea, right. So, there's going to be changes, and you're going to be seeing them.

– Mr. Saurabh Jain – HSBC:

– Numbers, you can share what percentage could be dependent on India sourcing or the other parts of Asia sourcing, say, for China. I mean, any ballpark estimates would also be useful for me.

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– I mean, I would love to come more to a 50 -50 situation. Whether I can achieve that is a different discussion, right. Anything above that is probably also not realistic. But take it, please, as Simon shoots into the air. This is just to be friendly to you and give you a number.

– Mr. Saurabh Jain – HSBC:

– Sure, thank you.

– Mr. Vinit Jindal – ED & CFO, Bayer CropScience Limited:

– This is really our CP portfolio.

– Mr. Saurabh Jain – HSBC:

– Yeah, I'm talking about the CP.

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– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– So, can we ask the last question from you?

– Participant:

– Yeah, so thank you for taking the question. This was regarding the cost of maize production, the increase that we have seen in the last one and a half odd years, that had a lot to do with maize prices going up. So,

with the price fall that we have seen in maize, does that kind of result in cost of production for us going down now, especially when the maize prices are under MSPs?

– And how do we see the margin profile in the corn seeds business? Before the merger, when we looked at Monsanto financials, the margins used to be anywhere close to 28 to 30 odd percent. Are we far away from that? Are we close to that? And when you mentioned that the cost of production for incremental corn seeds goes up, so how much impact does it have on our corn margins?

– Mr. Simon Wiebusch – Vice Chairman, MD & CEO, Bayer CropScience Limited:

– Yeah, very, very detailed question. Thank you.

– I mean, first of all, the commercial or the corn seed production is a very different topic than an MSP when it comes to what I need to pay. What is true is if MSPs go up, they do push the expectation of farmers as well. So, we contract always above MSP. So, when the MSP goes down, and I usually contract also half a year or whatever in advance, that doesn't necessarily help me that much. And let's be honest also, we don't move so far away from the MSP that that would make a huge difference, right. So, it is rather that there's a fundamental increase coming, also driven by the MSP increase, but primarily because more corn seeds need to be produced, and there's not that many professional corn seeds producers. And there are certain areas of the country where it makes most sense, and there are certain drying facilities, etc.

– And when you look at the corn development that we've seen in the last couple of years, it's not just Bayer. It's generally in the country corn is coming up, and that means we're c

ompeting more for growers, right.

So, this is a trend which per se is there, and that at the same time, when we have good MSPs, it is better for us on the pricing side, and that means I can make up for the increases in production costs more. So, we do not really expect corn margins to significantly go down. I think rather we are at a good space, right.

– Now Monsanto was a very, very different setup than we were. They were reasonably clean. They did not have a sales force in areas where there was no corn seeds. They did about a third of the corn seeds that we do today. It's not difficult to have a profitable business if you're just focused on profitable parts of a country because it doesn't really make a lot of difference in your global footprint. So, I don't necessarily like to go back in that comparison. But as we said, corn seed growth will be over-proportionally profitable for us here, which means that corn seeds on average probably have a slightly higher margin than the CP portfolio and carry a lower cost to serve.

– Mr. Sunil Narwani – Head, Investor Relations Function, Bayer CropScience Limited:

– Okay, thank you, Simon, and thank you, Vinit.

– Ladies and gentlemen, on behalf of Bayer CropScience Limited, I extend my heartfelt gratitude to each one of you for joining us today in person. Your trust and support have been instrumental in our journey, and we deeply value your partnership.

– As we conclude, let me leave you with this thought from Malcolm X – 'The future belongs to those who prepare for it today'. At Bayer, we are preparing today to create sustainable growth and value for tomorrow.

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– Thank you once again for your time and engagement. We wish you continued success and well-being. With this, we formally conclude the Investor Meet 2025.

– Please join us for high tea. Thank you.

– END OF TRANSCRIPT